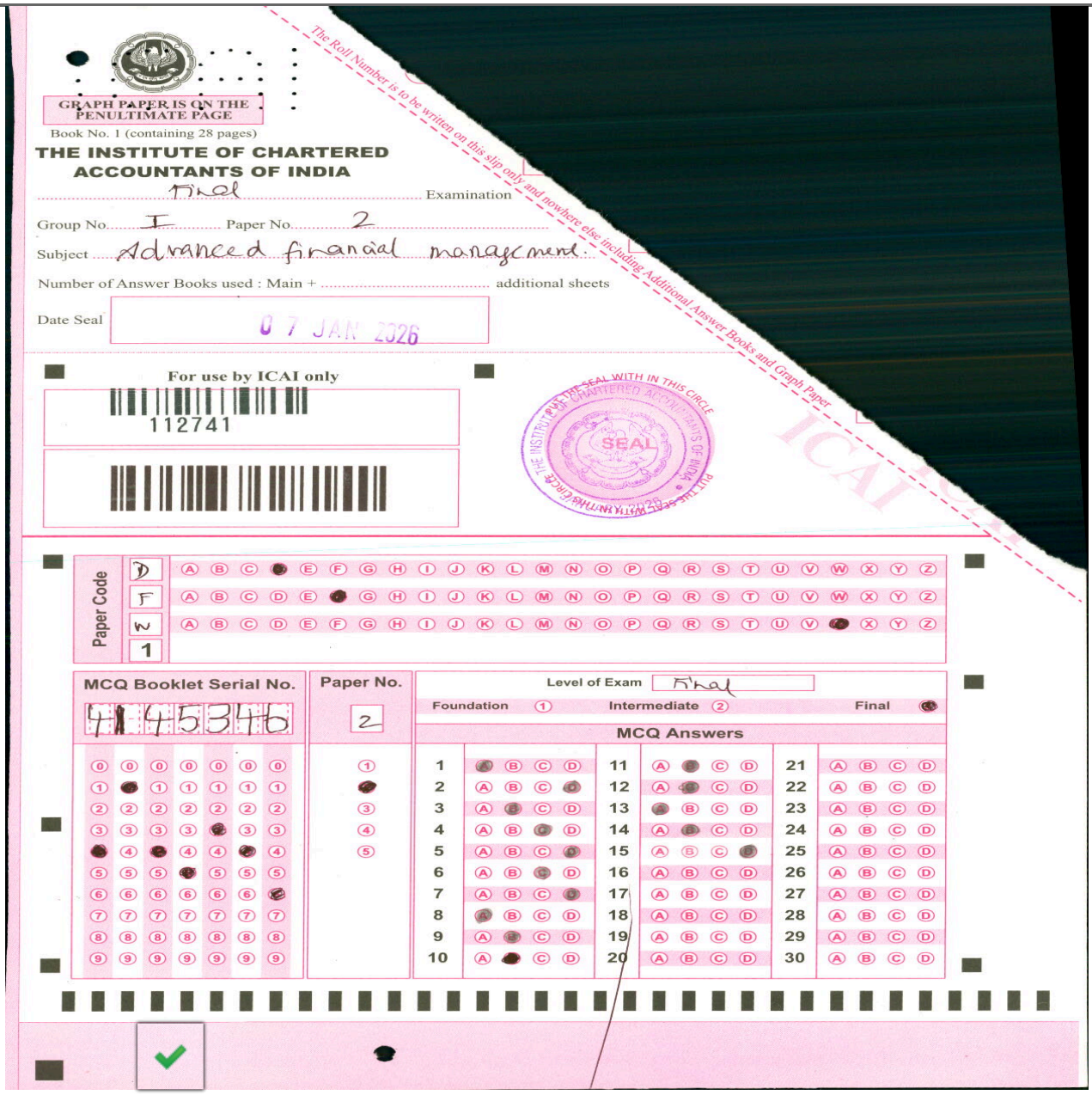
The Institute of Chartered Accountants of India

Code:	**FN2AF112741**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**41**



GRAPH PAPER IS ON THE PENULTIMATE PAGE

Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

Final Examination

Group No. I Paper No. 2

Subject Advanced financial management.

Number of Answer Books used : Main + ... additional sheets

Date Seal 07 JAN 2026

The Roll Number is to be written on this slip only and nowhere else including Additional Answer Books and Graph Paper

For use by ICAI only

112741

PUT THE SEAL WITH IN THIS CIRCLE THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA SEAL

Paper Code: D F W 1

MCQ Booklet Serial No. 4145346

Paper No. 2

Level of Exam: Final (Foundation ① Intermediate ② Final)

MCQ Answers

1	B	11	C	21	B		
2	D	12	B	22	B		
3	B	13	A	23	B		
4	C	14	B	24	B		
5	D	15	D	25	B		
6	C	16	B	26	B		
7	D	17	B	27	B		
8	A	18	B	28	B		
9	B	19	B	29	B		
10	B	20	B	30	B		

The Institute of Chartered Accountants of India

Code: FN2AF112741 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 41

NDIDATE

ner of the cover

es of the OMR portion

et at the appropriate space at the

heet and affix the same on box provided

hat Roll number written in numbers, words and

nformation wrongly, Institute will not take any

on a fresh page and question number prominently written at the

n number should be distinctly written in the margin.

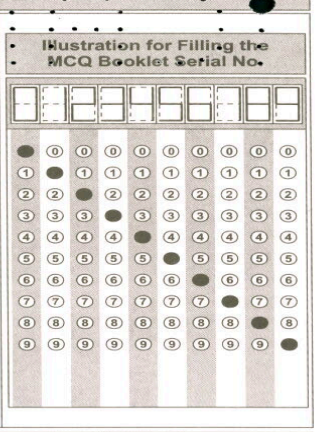
ould be fully completed in one page or in a consecutive set of pages,

other than the space provided for the purpose or writing distinguishing mark,

sus", "786", etc., will tantamount to adoption of "unfair means"

answer book to the invigilator take care to score out (X) blank pages, if any, that you

Illustration for Filling the MCQ Booklet Serial No.



RUCTIONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

H.B. Pencil to Darken the appropriate Circle.

and darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.

case any candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.

. Please darken the complete circle.

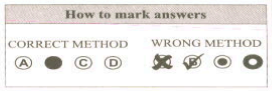
4. If you want to change your Answer, erase the darkened circle completely and make a fresh mark.

5. Please do NOT make any stray marks on the OMR cover page.

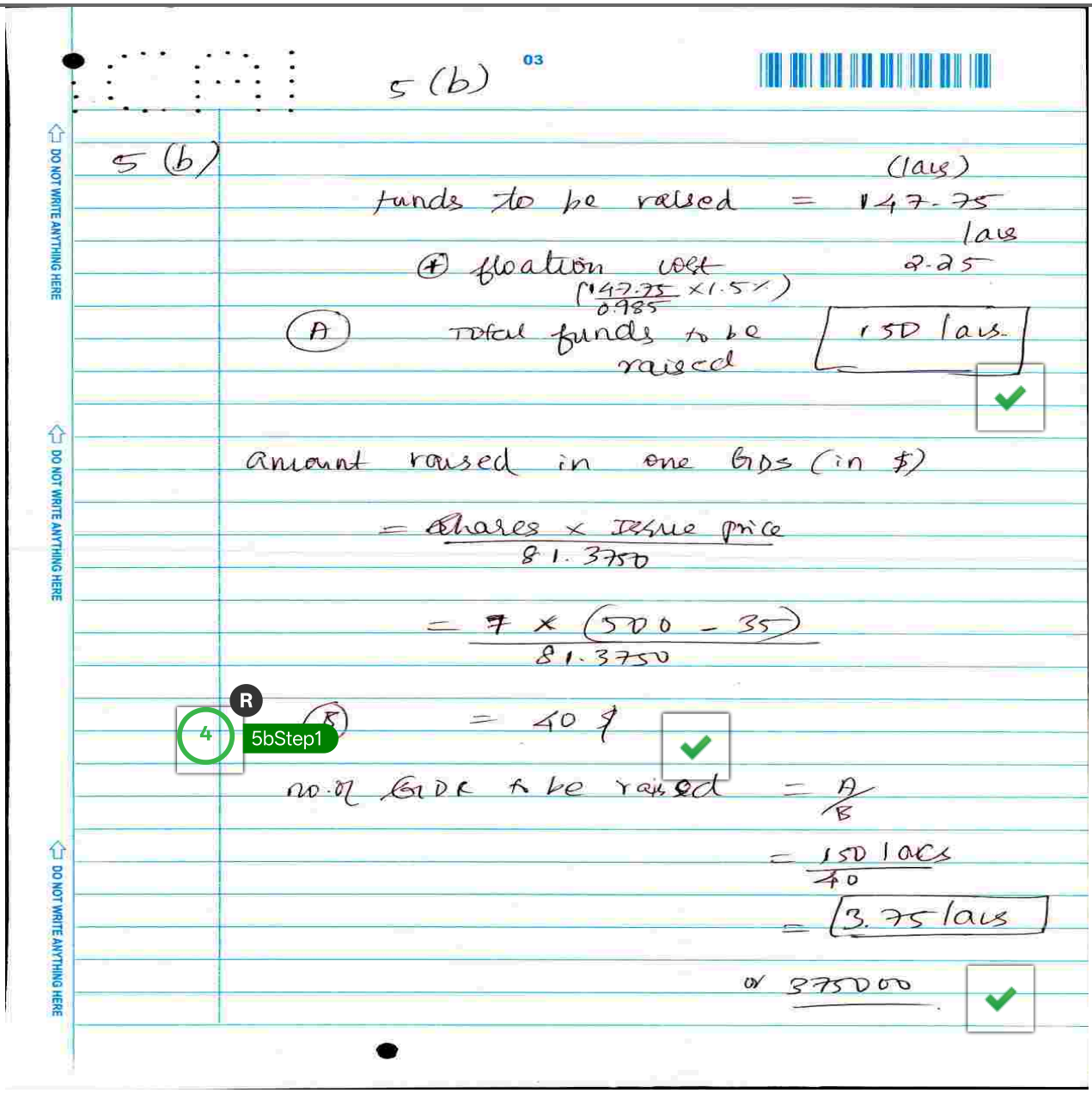
6. Rough work must NOT be done on the OMR cover page.

7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers



Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1	☐	8	☐
2	☐	9	☐
3	☐	10	☐
4	☐	11	☐
5	☐	12	☐
6	☐	13	☐
7	☐	14	☐
Total	✓	Total	



5 (b) 03

5 (b)

Funds to be raised = 147.75 (lacs)

+ floation cost ($\frac{147.75}{0.985} \times 1.5\%$) = 2.25 lacs

(A) Total funds to be raised = 150 lacs.

Amount raised in one GDS (in $)

$= \frac{\text{Shares} \times \text{Issue price}}{81.3750}$

$= \frac{7 \times (500 - 35)}{81.3750}$

(B) = 40 $

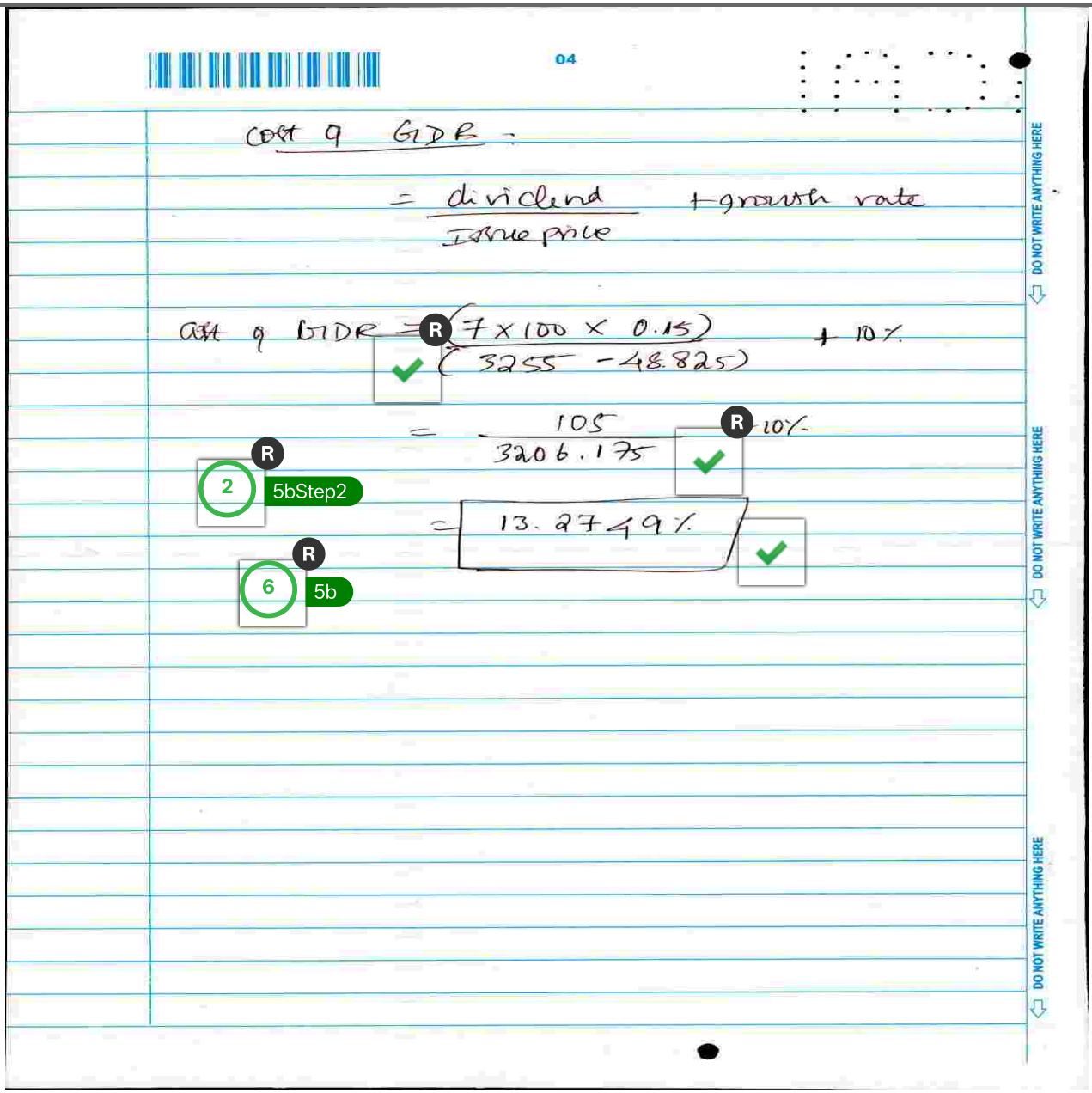
no. of GDR to be raised = $\frac{A}{B}$

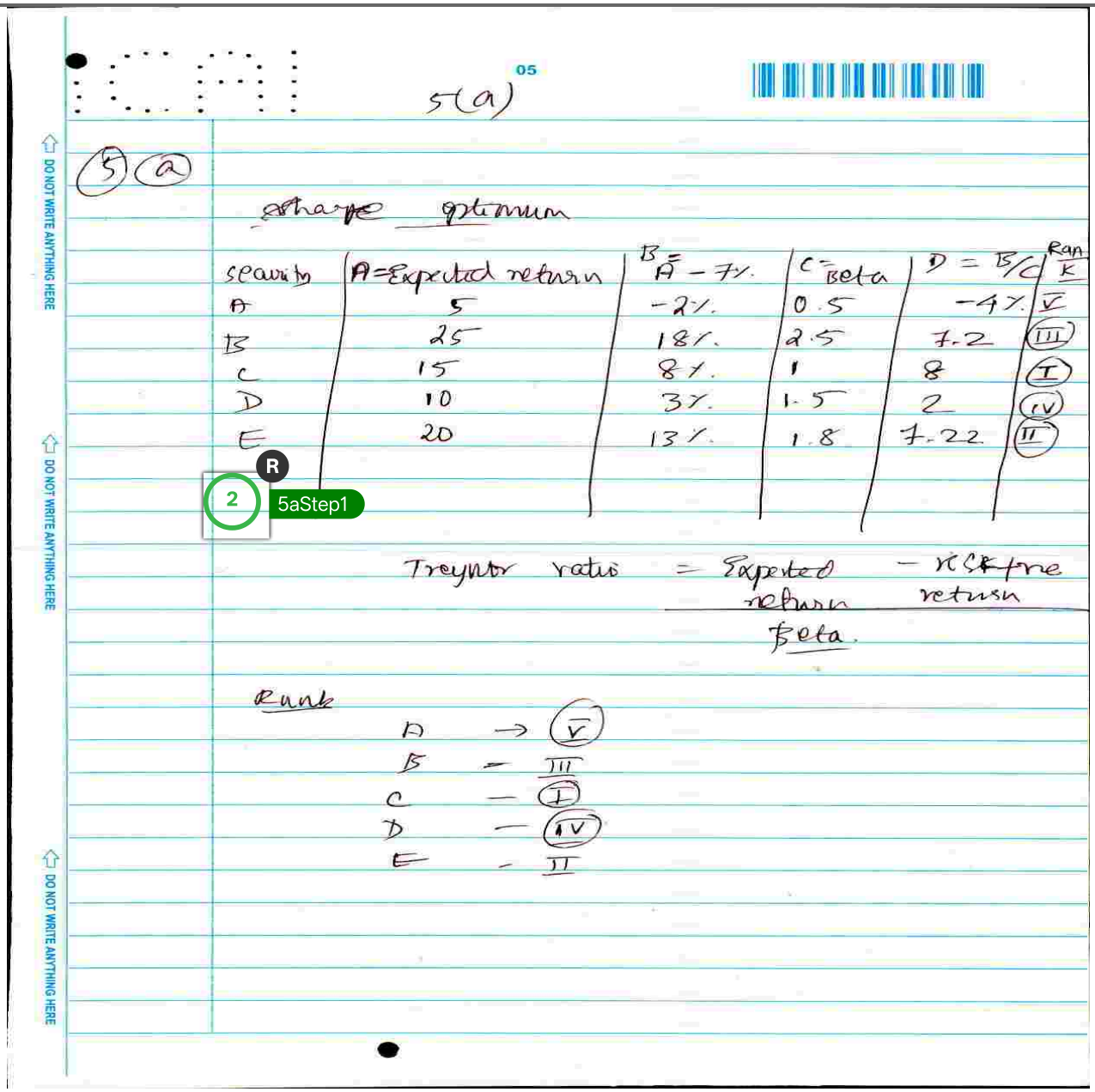
$= \frac{150 \text{ lacs}}{40}$

= 3.75 lacs

or 375000

R 4 5bStep1


04
cost of GDR =
= dividend / Issue price + growth rate
cost of GDR = (7 x 100 x 0.15) / (3255 - 48.825) + 10%
= 105 / 3206.175 10%
= 13.2749%
R
2
5bStep2
R
6
5b
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE



5(a) 05

5 (a)

sharpe optimum

Security	A = Expected return	B = A − 7%	C = Beta	D = B/C	Rank
A	5	−2%	0.5	−4%	V
B	25	18%	2.5	7.2	III
C	15	8%	1	8	I
D	10	3%	1.5	2	IV
E	20	13%	1.8	7.22	II

R
2 5aStep1

Treynor ratio = (Expected return − Risk free return) / Beta

Rank

A → V
B → III
C → I
D → IV
E → II

DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE

06

cutoff point =

Securities	A	B	C	D	Cut off
C	0.8	0.8	0.1	0.1	5.7143
E	1.3	2.1	0.18	0.26	6.5625
B	2.25	4.35	0.3125	0.5925	6.8774
D	0.45	4.8	0.225	0.8175	5.5977
A	-0.04	4.76	0.01	0.8275	5.4870

5 5aStep2

$A = \frac{(\text{expected return} - \text{risk free})}{(\text{Beta})^2} \times (\text{Beta})^2$

B = sum of "A"

C = $(\text{Beta})^2$

D = sum of "C"

DO NOT WRITE ANYTHING HERE

07

cut off calculation:

$$= \frac{\beta \times (\sigma m)^2}{1 + D(\sigma m)^2}$$

~~β~~ $(\sigma m)^2$ = market variance

Security C $= \frac{20}{1 + 0.1(25)}$

$= 5.7143$

E $= \frac{52.5}{8} = 6.5625$

B $= \frac{108.75}{15.8125} = 6.8774$

D $= \frac{120}{21.4375} = 5.5972$

~~A~~ $= \frac{119}{21.6875} = 5.4870$

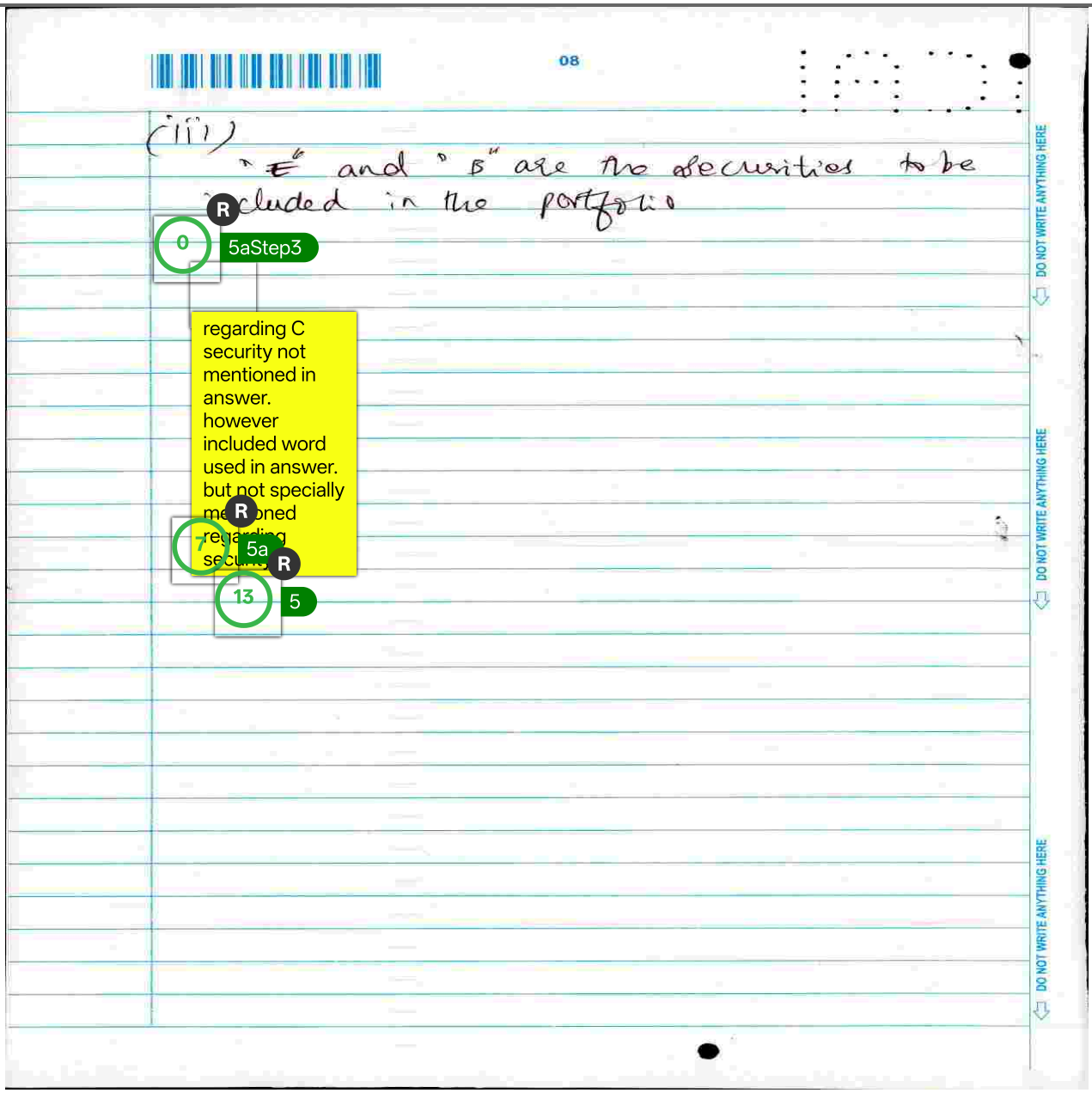
DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code:	**FN2AF112741**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**41**



09

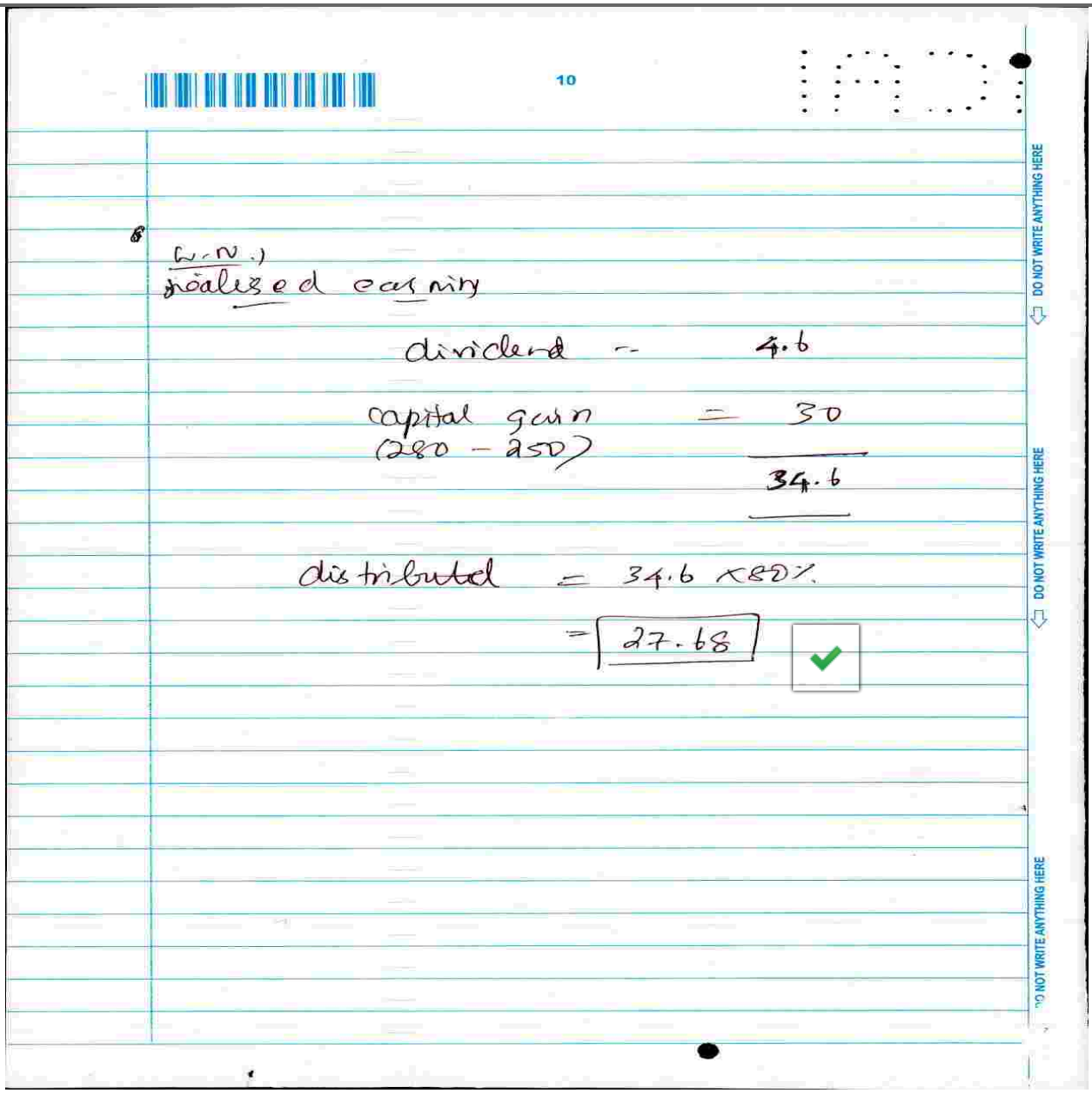
6(a)

6(a) 1/6/24

Computation of cash balance	(lakhs) ₹
Issue price. (180,00,000 × 10)	1800
less: Commission paid (200 lakhs × 10 × 2%)	(40)
Less investments made	(1780)
less: expenses (marketing)	(25)
Add: proceeds on sale.	280
less: subsequent purchase	(265)
less: Expenses incurred (less than 0.5% of fund invested)	(5.0)
Add: dividend earned.	4.6
less: distribution of earnings. (W.N. 1) – refer cash balance	(27.68)
	(-58.08)

1 6aStep1

DO NOT WRITE ANYTHING HERE



10

8

W.N.)

realised earning

dividend -- 4.6

capital gain (280 - 250) = 30

34.6

distributed = 34.6 × 80%

= 27.68

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

11

Computation of NAV

	Lakhs
market value of portfolio	2150.50
Expense accrual	(0.5)
Dividend not received	0.4
Cash (overdraft) balance	~~-58.08~~ -58.08
NAV (Total) (A)	~~209232~~
no. of units (B)	180
NAV per unit (A/B)	11.62 rounded off

Alternative II

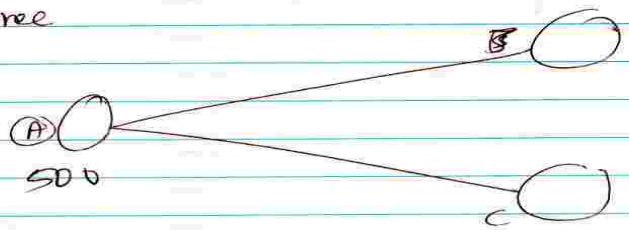
Alternative ~~II~~ I

If 80% of entire dividend is distributed then cash balance = (57.76) lacs
and NAV will be = 11.63

6 (b) 12

6 (b)

Tree



payoff = 450 - 350
= 100

~~probability~~
no. of times going up (increase) = 1.2
no. of times going down (decrease) = 0.7

probability of going up (increase) = $\frac{1.08 - 0.7}{1.2 - 0.7}$

$= \frac{0.38}{0.5}$

= 76%

DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE

13

formula = $\frac{(1+rt) - d}{u-d}$

r = risk free rate = 8%
t = time = 1

d = times going down = 0.76
u = times going up = 1.2

probability of going down = 1 − 0.76
= 0.24 = 24%

pay off = 450 − 350 = 100 lakhs

value of option = $\frac{\text{pay off} \times \text{probability}}{(1+rt)}$ r = risk free rate, t = time

= $\frac{100 \times 24\%}{(1.08)}$

value of abandonment option = 22.22 lakhs

DO NOT WRITE ANYTHING HERE

14

6(C)

6(C) Special purpose vehicle :

(1) Pass through certificate (PTC)

features :

* In pass through certificates, SPV transfers on the receipts of cashflow to investors in the form of principal and interest.

* Investors have direct claims on all assets securitised by the SPV.

* Since all the cashflows are transferred, investors carry proportionate beneficial interest in assets.

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE

(2) pay through securities:

* Pay through securities is where instruments are backed by debt securities with varying securities allowing it to manage the reinvestment of surplus funds from prepayments in short term securities.

* It permits desynchronisation of servicing of assets from cashflows.

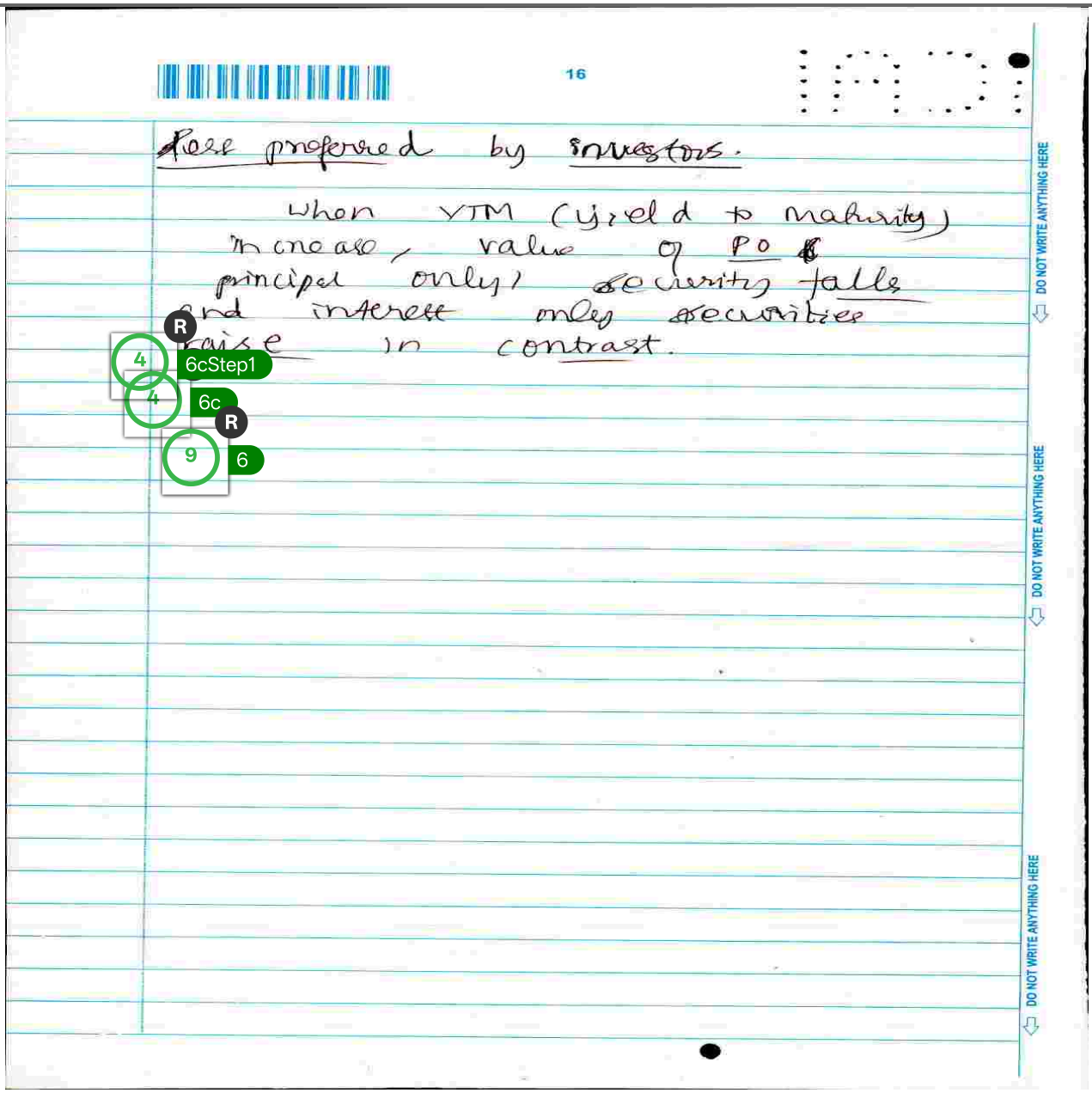
(3) stripped securities:

This is created by dividing cashflow of funds into 2 sections components

* Interest only securities (IO)
* Principal only securities (PO)

* Interest only security holder receive only interest while principal only securities holder receive principal

* Being highly volatile in nature,



16

Less preferred by investors.

When YTM (yield to maturity) increase, value of PO & principal only security falls and interest only securities raise in contrast.

R
4 6cStep1
4 6c
R
9 6

DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE

17

1(a)

1(a)

bonus scheme (1/4/19)

Closing units:

return over 6 years = 16.8 × 6

= 100.8 %

cost = 2500000

+ return (2500000 × 100.8%) 2520000

(A) Closing ~~NAV~~ portfolio value. 5040000 (31/3/2025) ✓

(B) NAV per unit 110

no of units on 31/3/25 (A/B) 45636.36 ✓

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

18

units issued on 30/9/23

Assume units before bonus issued = x on 30/9/23

$(x) + \frac{2}{5}(x) = 45636.36$

$5x + 2x = 228181.8$

(units as on 30/9/2023) $x = 32597.4$ ✓

units issued on 30/9/2021

Assume units before issue on 30/9/21 = x

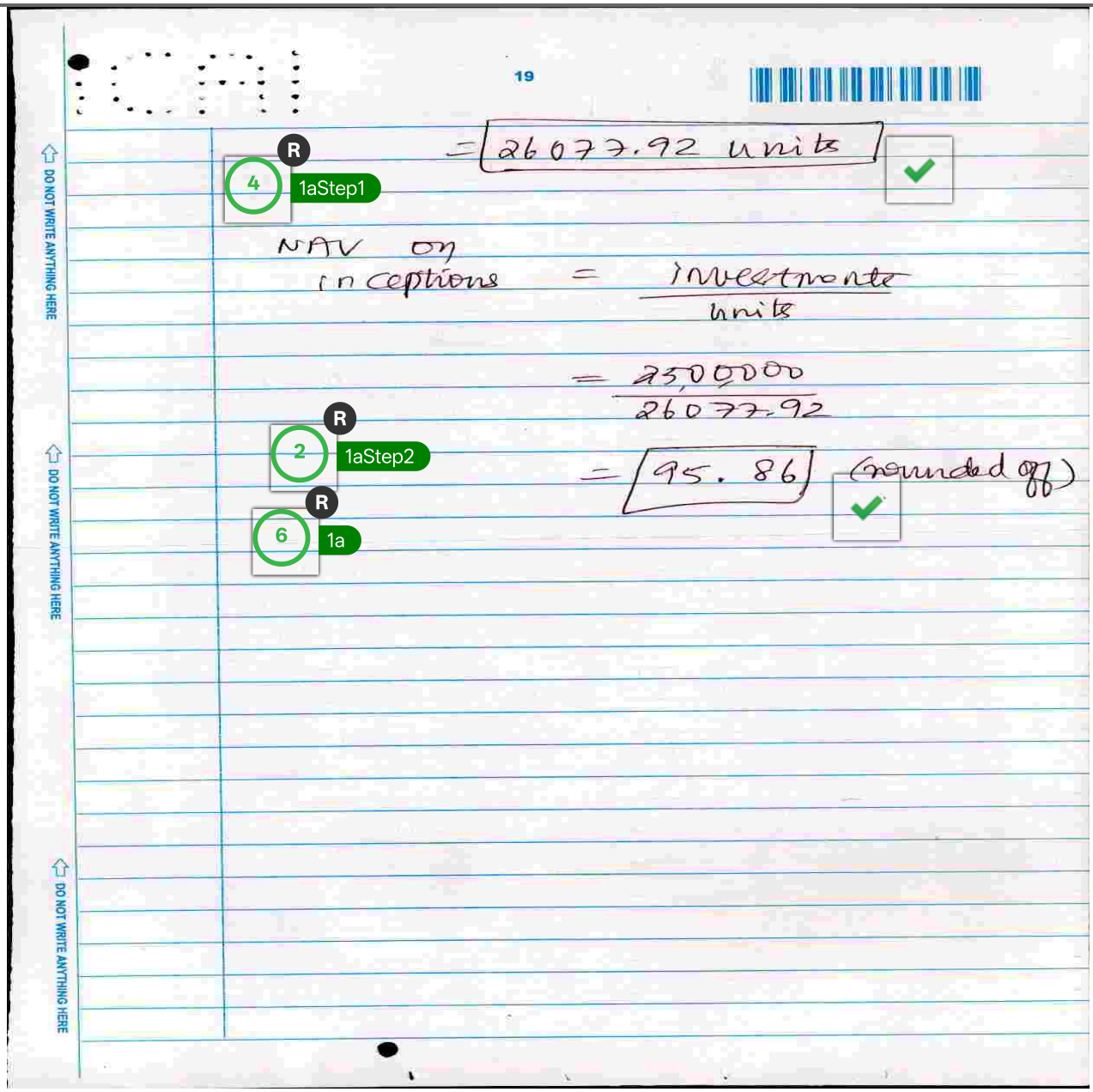
$x + \frac{1}{4}x = 32597.4$

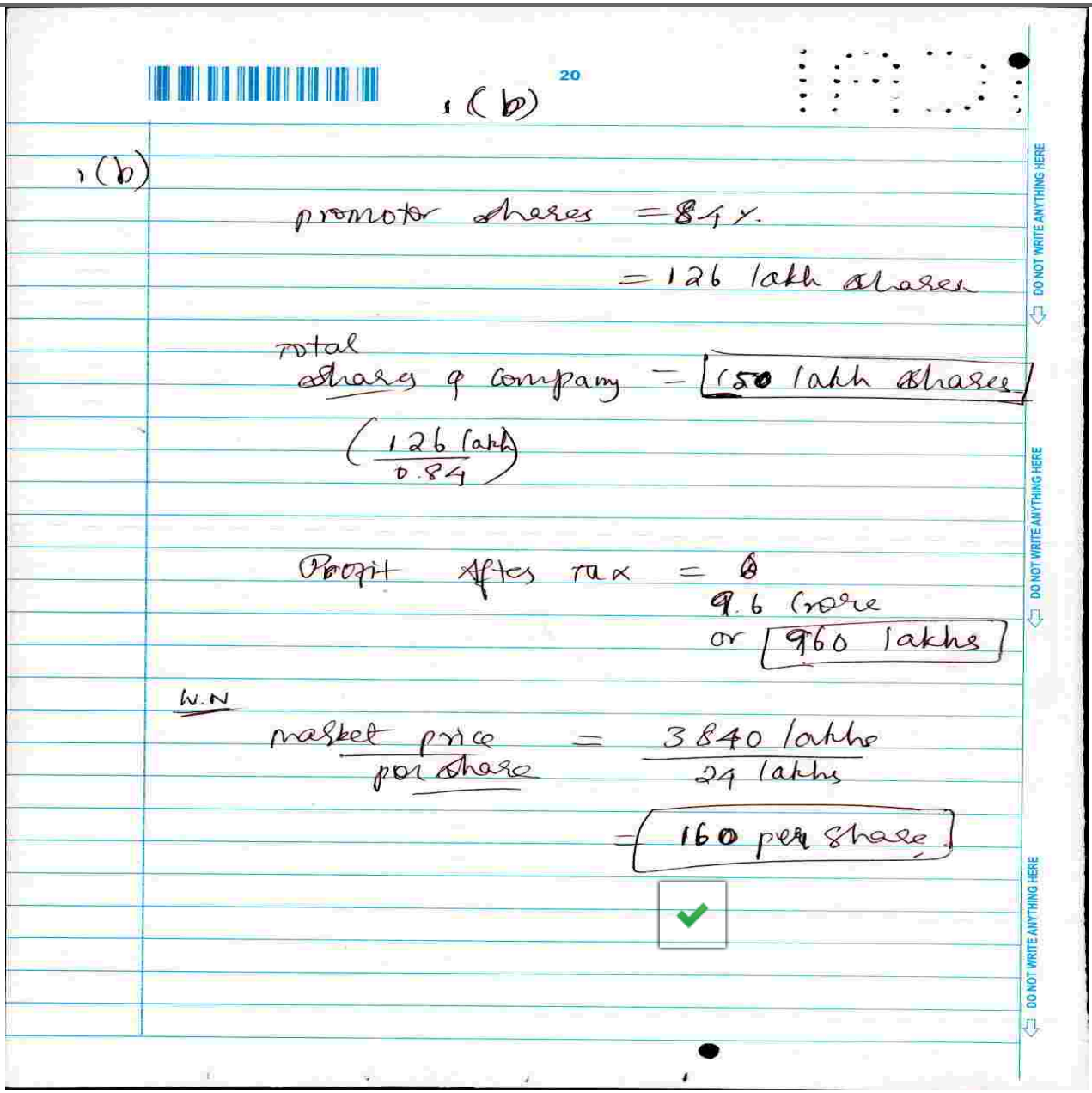
$4x + x = 130389.6$

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE


19
= 26077.92 units
R
4
1aStep1
NAV on inceptions = Investments / units
= 2500000 / 26077.92
R
2
1aStep2
= 95.86 (rounded off)
R
6
1a
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE



1(b) 20

1(b)

promotor shares = 84%.

= 126 lakh shares

Total shares of company = 150 lakh shares

$\left(\frac{126 \text{ lakh}}{0.84}\right)$

Profit after tax = 9.6 crore or 960 lakhs

W.N

market price per share = $\frac{3840 \text{ lakhs}}{24 \text{ lakhs}}$

= 160 per share

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE

(i) PE ratio

PE ratio = price per share / Earning per share

$= \frac{160}{6.4} = \boxed{25}$

N.N -

Earning per share = $\frac{960 \text{ lakhs}}{150 \text{ lakhs}}$

$= \boxed{6.4}$

(ii) Bonus ratio :

Total shares after issue = $\frac{126 \text{ lakhs}}{0.75}$

(A) = 168 lakhs

Existing shares (B) = 150 lakhs

Bonus issue (C) = 18 lakhs
(A − B)

22

Bonus ratio:

$= \frac{C}{B} = \frac{18 \text{ lacs}}{150 \text{ lacs}}$

Bonus ratio = 0.12 : 1

(i.e) 9 shares per 75 shares.
or 0.12 : 1

0.12 shares per one share.

(iii) Market price after issue -

Earning after Tax (A) = 9600 lakhs

(÷) no. of shares (B) = 168

C = EPS (A/B) = 5.71

D = PE = 6.4

Market price (C × D) = 36.54 per shares

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

23

Note:
~~Assumption~~ = 2 decimals.

(iv) free float capitalisation

= ~~mps~~ market price × non-promoter shareholding

= 36.54 × (42 lakhs)

= 1534.68 lakhs.

post EPS = 5.7 [A]
(as computed

PE = 25 [B]

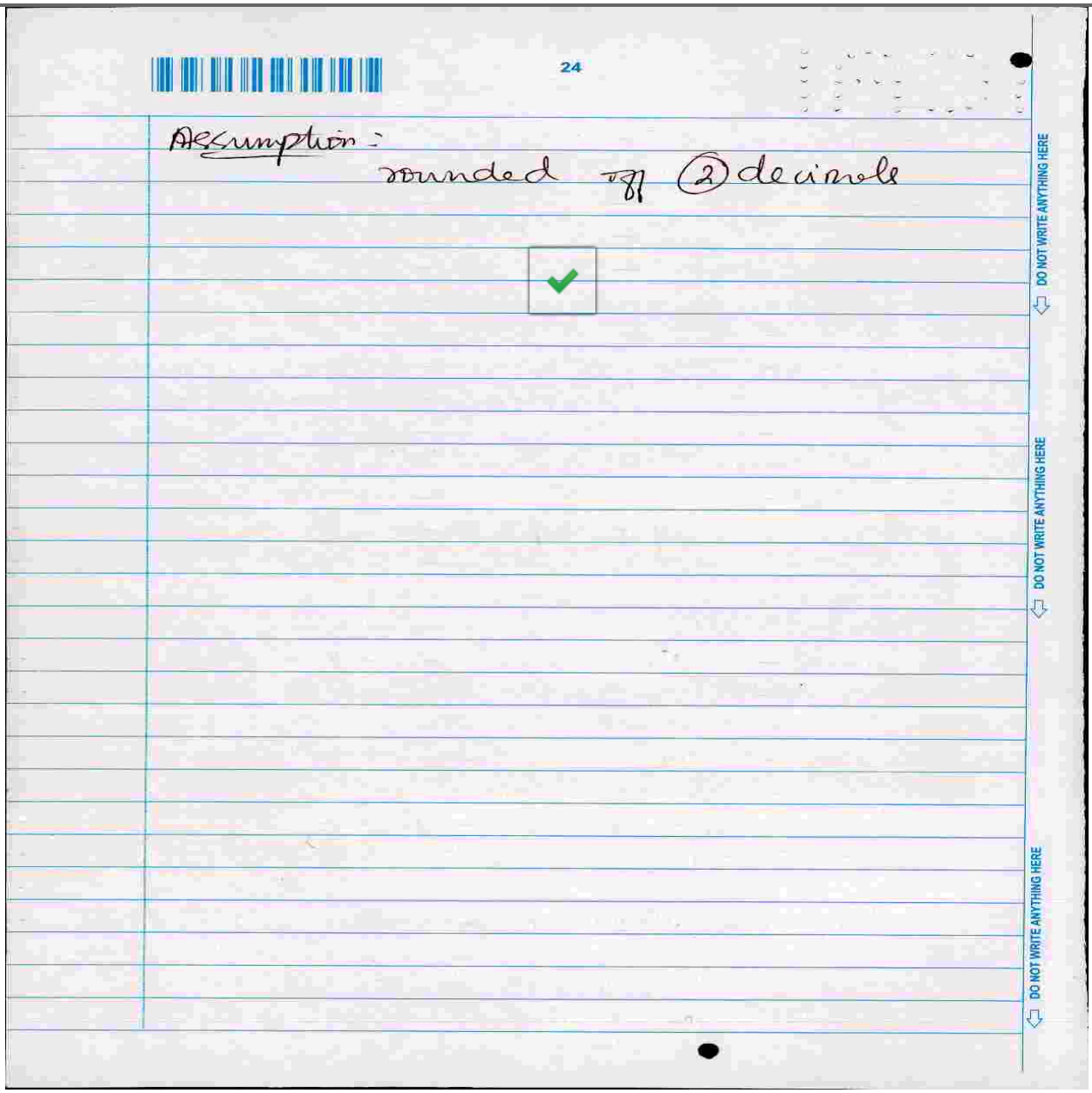
market price = 142.75
[A × B]

iv free float capitalisation:

= 142.75 × 42 lakhs
= 5995.5 or 5996

R
3 1bSte R
3 1b

DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE


24
Assumption :
rounded off (2) decimals
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE

25

1 (c)

1(c)

(i) Profit loss :

(1) Share price 550

call option :

decision : not exercised (~~market~~ because market price < strike price

premium = 42 × 150
= 6300

put option : not exercised

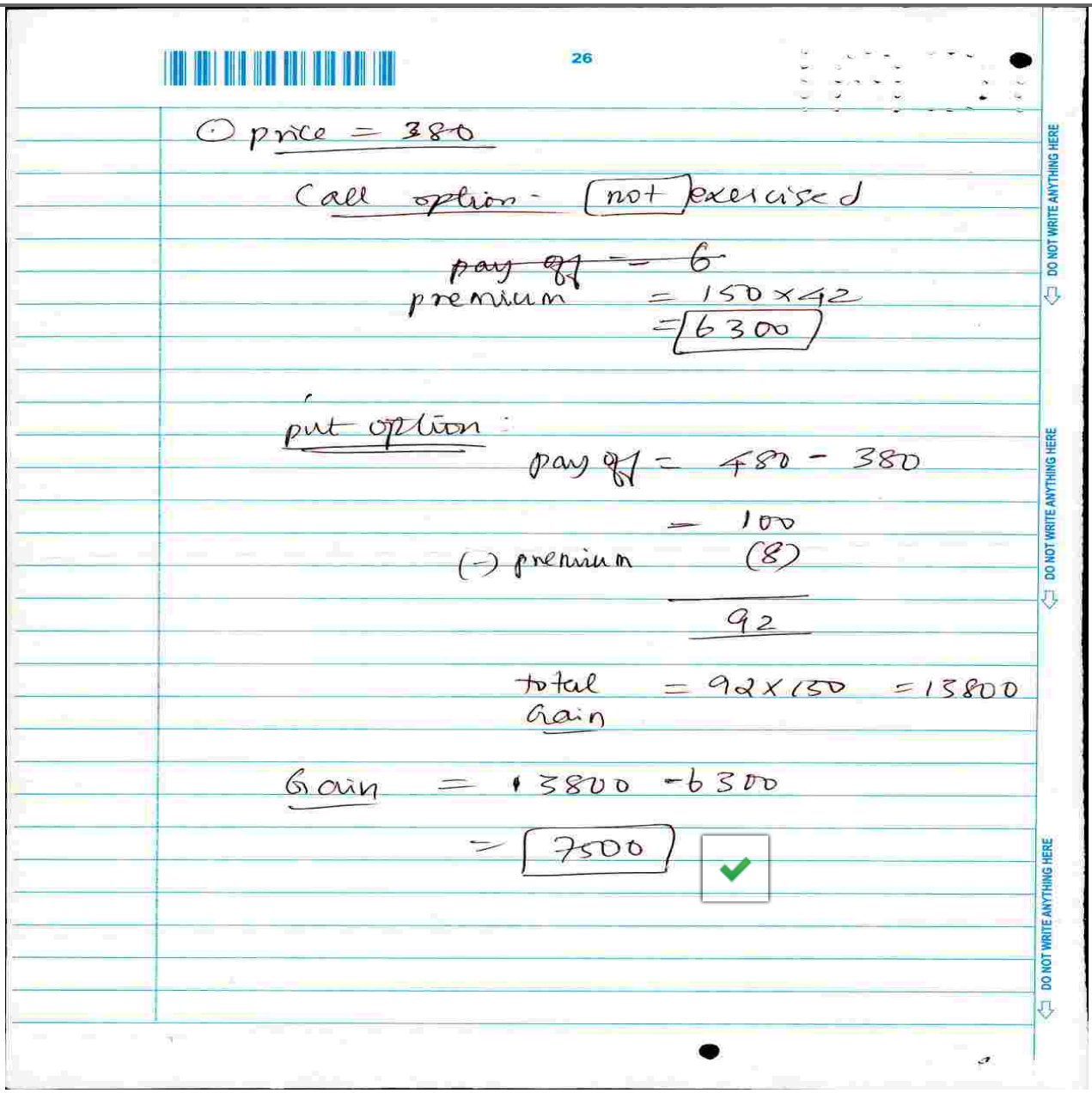
premium = 8 × 150
= 1200

total loss = 6300 + 1200
= 7500

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE



26

① price = 380

Call option - not exercised

~~pay off = 6~~
premium = 150 × 42
= 6300

put option :

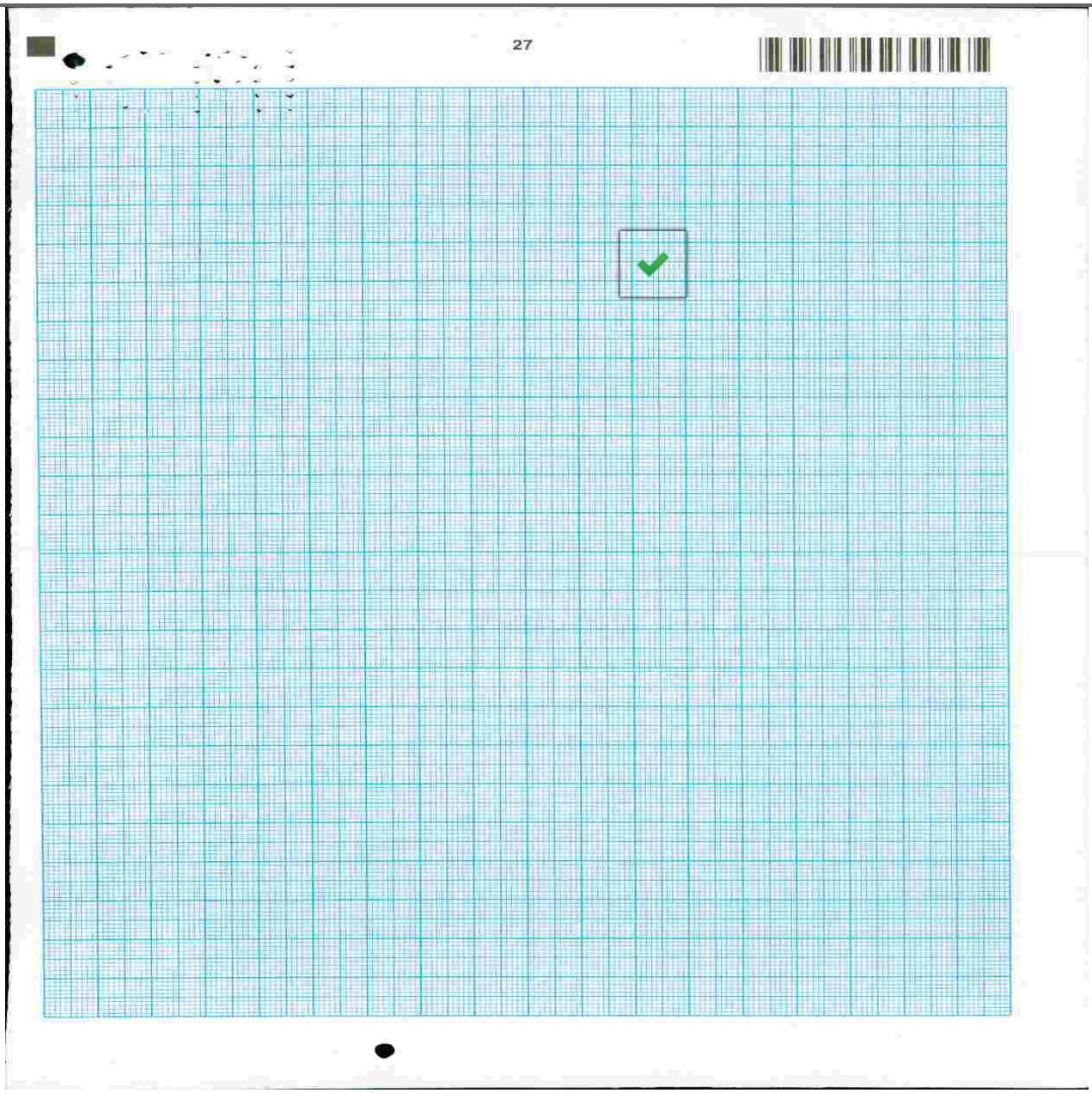
pay off = 480 - 380
= 100
(-) premium (8)
92

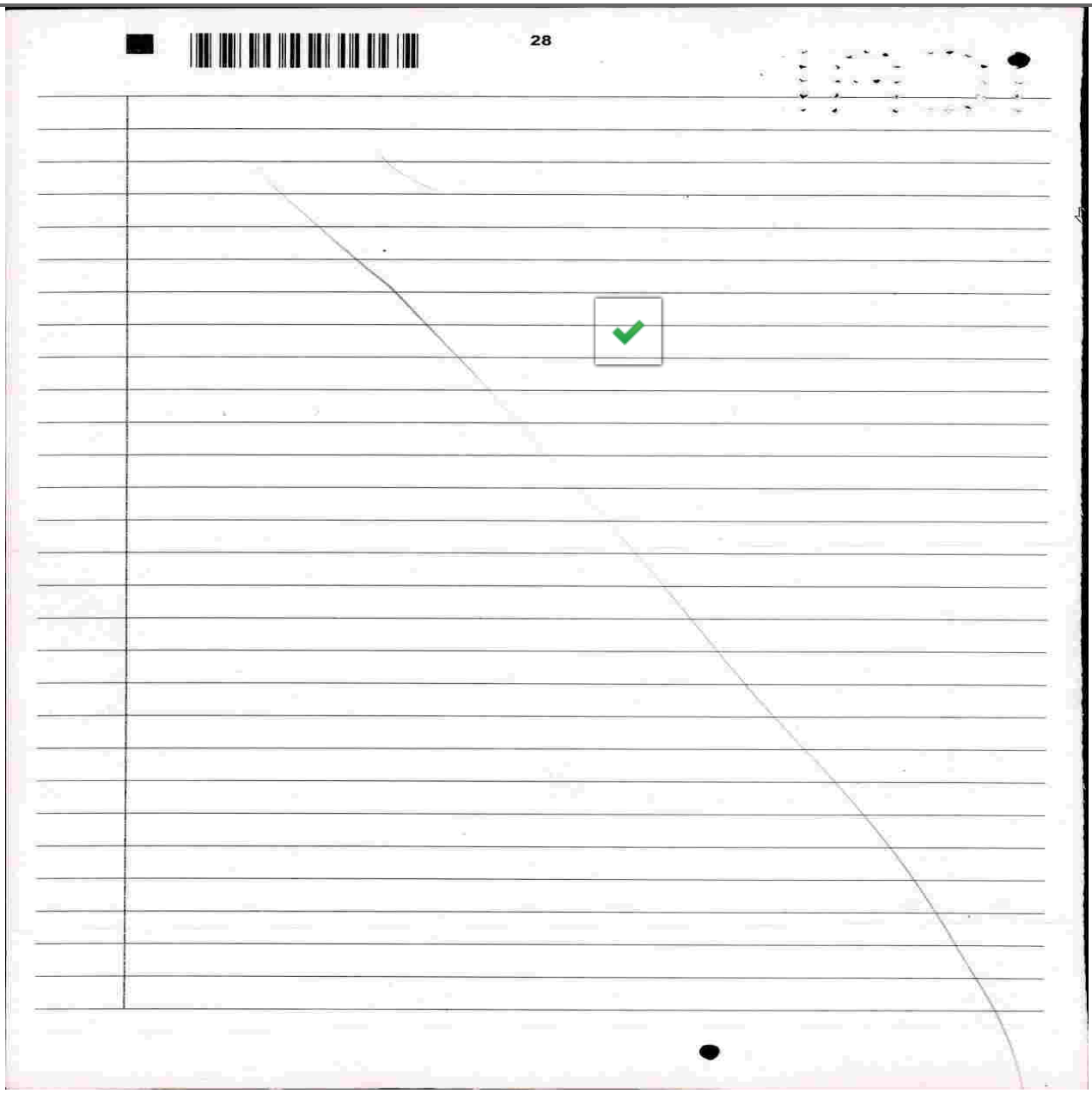
total gain = 92 × 150 = 13800

Gain = 13800 - 6300
= 7500

DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE

Code:	**FN2AF112741**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**41**




28

2112741-01
Addl. Book No. .....
THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK
DO NOT WRITE ROLL NUMBER ANYWHERE IN THIS ADDITIONAL ANSWER BOOK
07 JAN 2026
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE

(i) Share price 680

call :

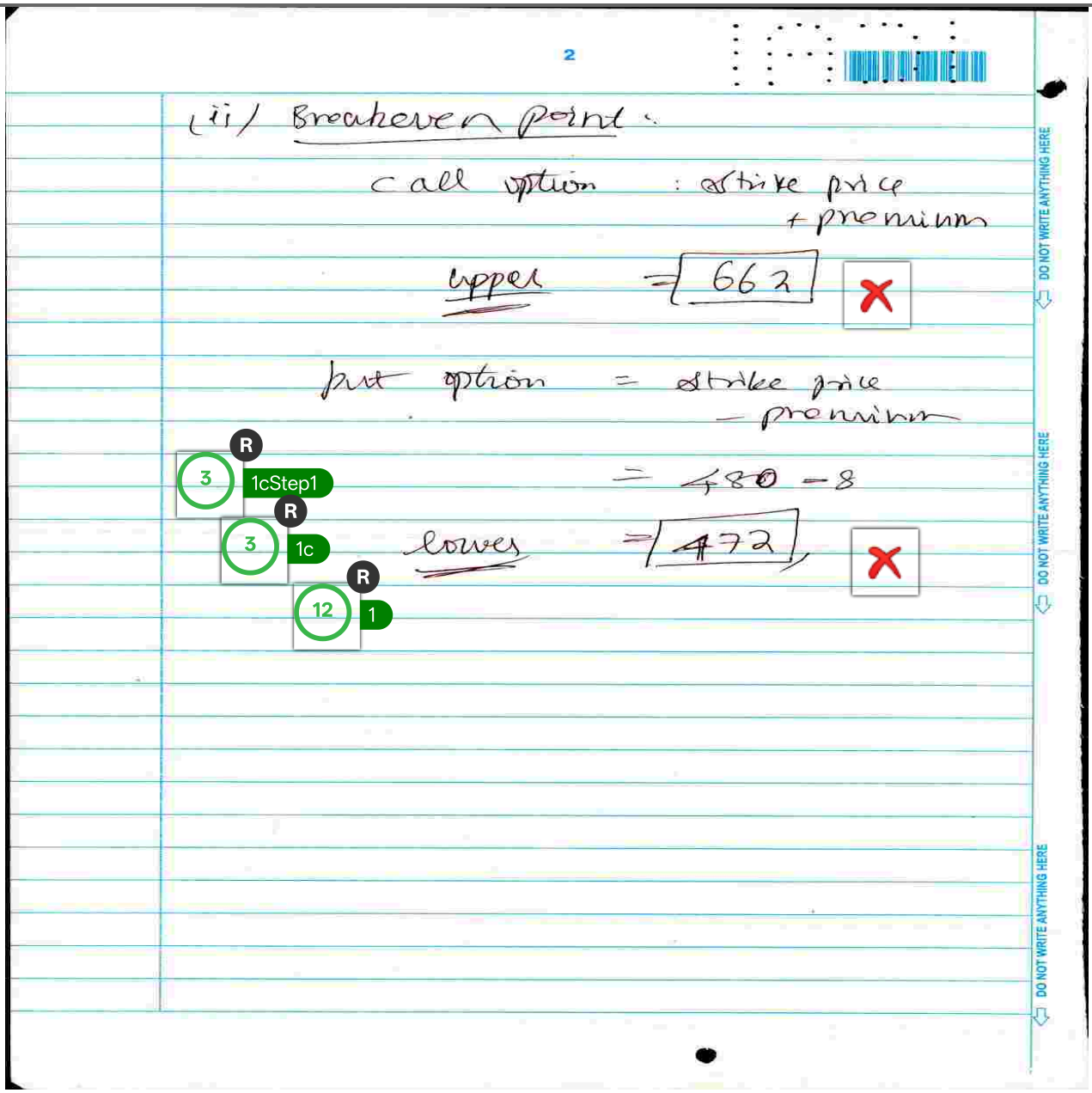
payoff = (680 - 620)
= 60
(-) premium = (42)
18

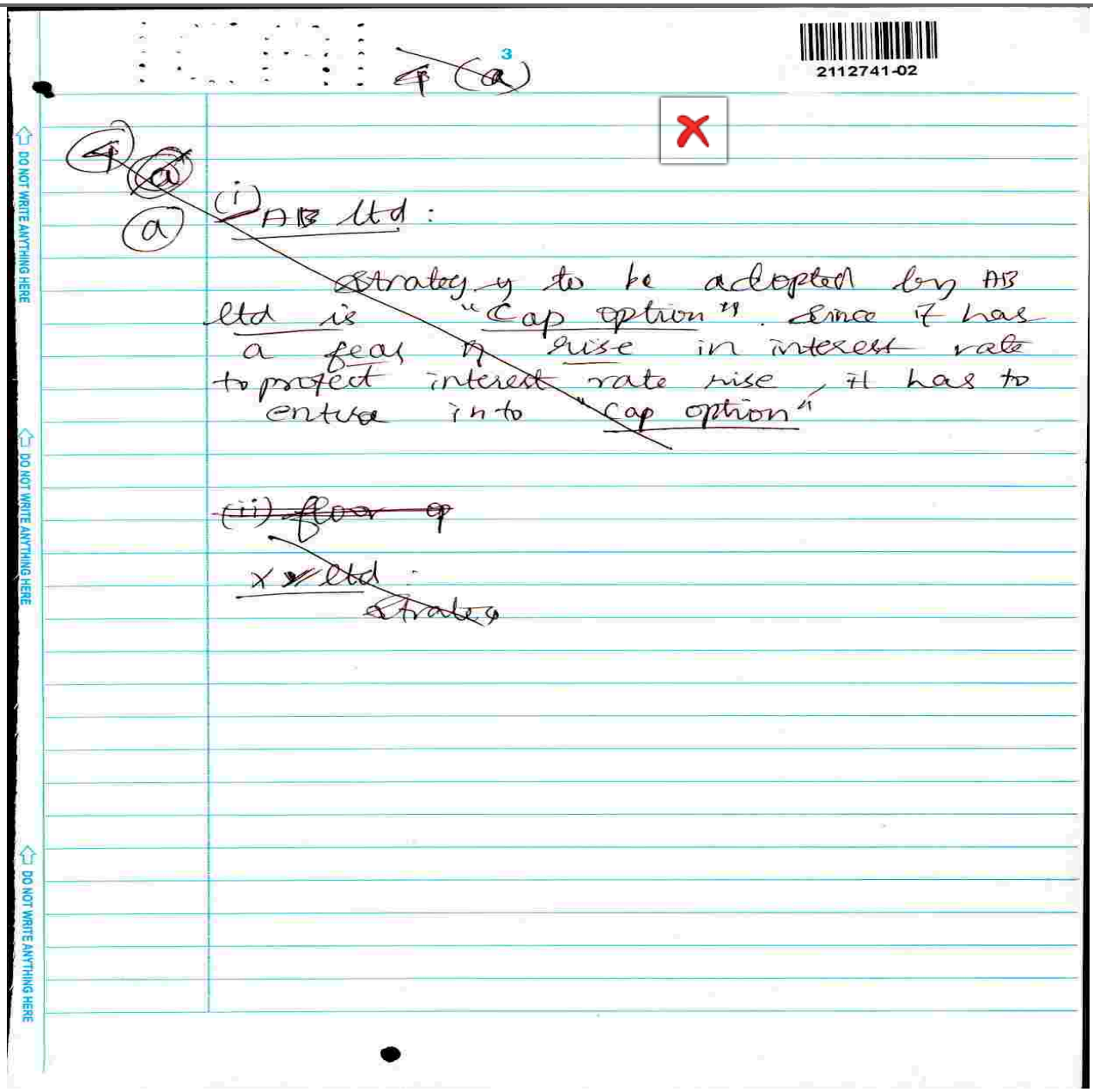
Total Gain = 18 × 150
of call = 2700

put option : (Not Exercised)
premium = 8 × 150
loss = (1200)

total Gain = 2700 − 1200

Gain = 1500 ✔


2
(ii) Breakeven point :
call option : strike price + premium
upper = 662
put option = strike price - premium
= 480 - 8
lower = 472
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE



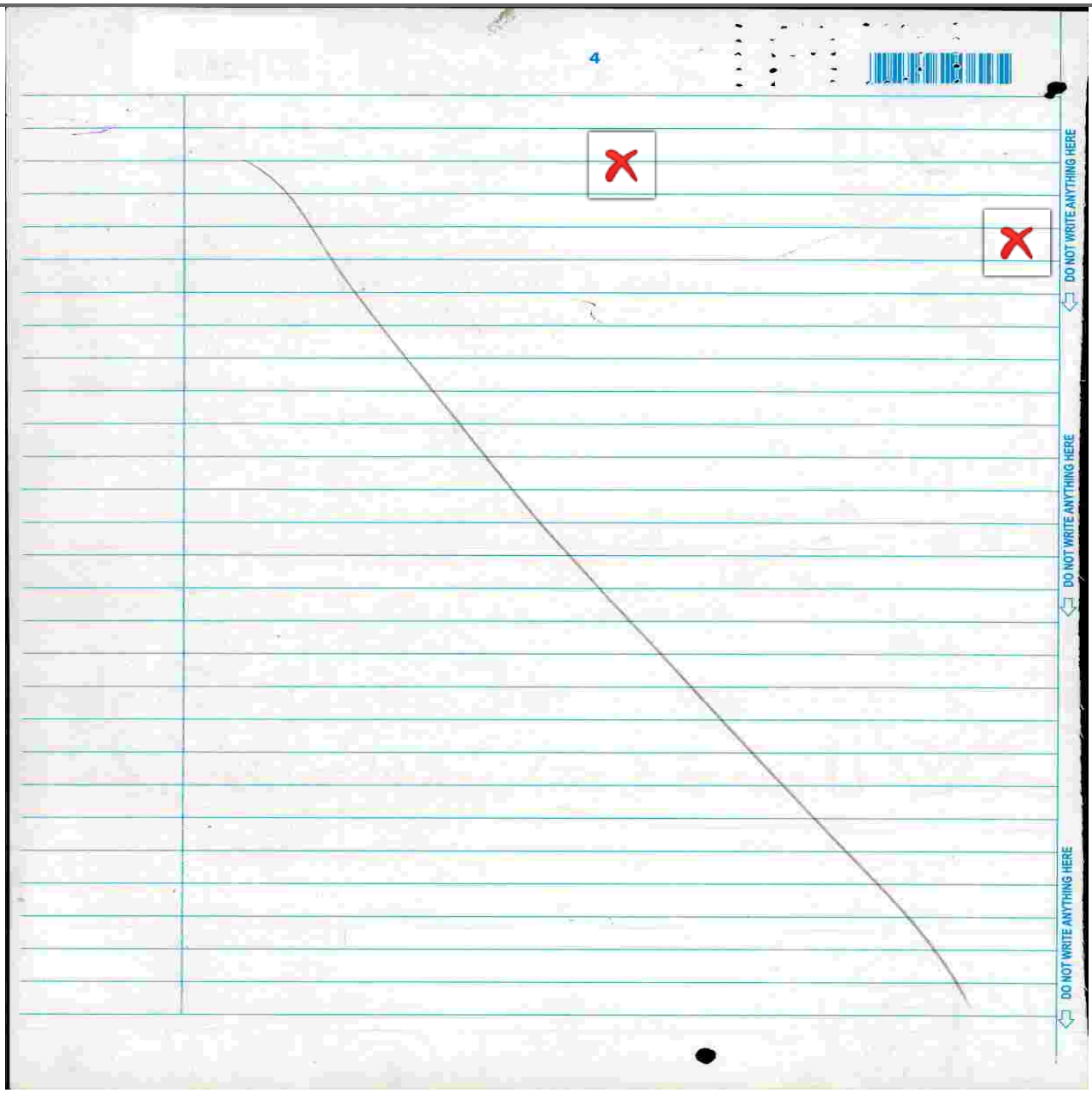
(i) AB Ltd :

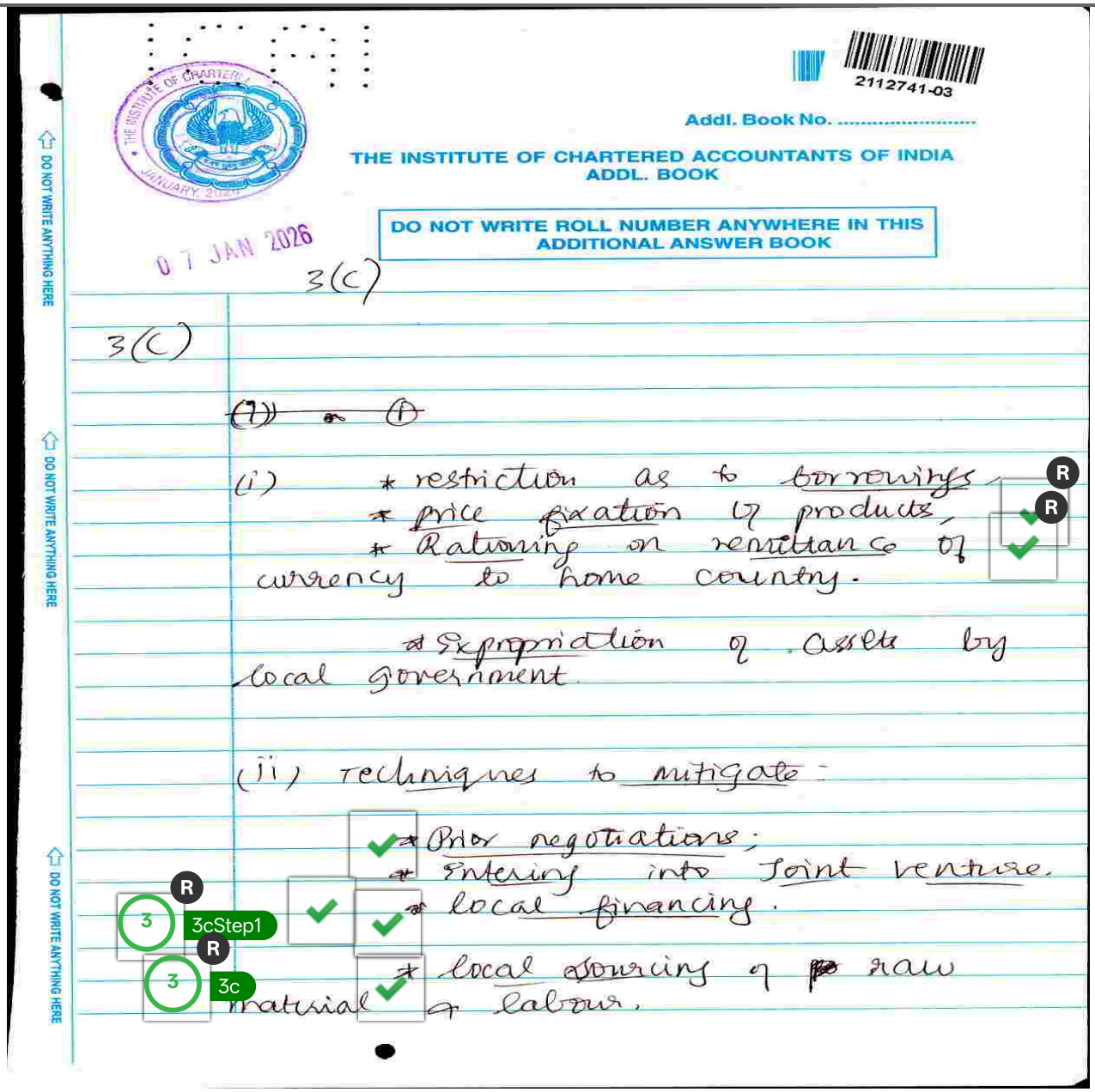
Strategy to be adopted by AB Ltd is "Cap option". Since it has a fear of rise in interest rate to protect interest rate rise, it has to enter into "Cap option"

~~(ii) floor~~

~~X Ltd~~ Strategy

Code:	**FN2AF112741**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**41**





2112741-03

Addl. Book No. .....

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

DO NOT WRITE ROLL NUMBER ANYWHERE IN THIS ADDITIONAL ANSWER BOOK

07 JAN 2026

3(C)

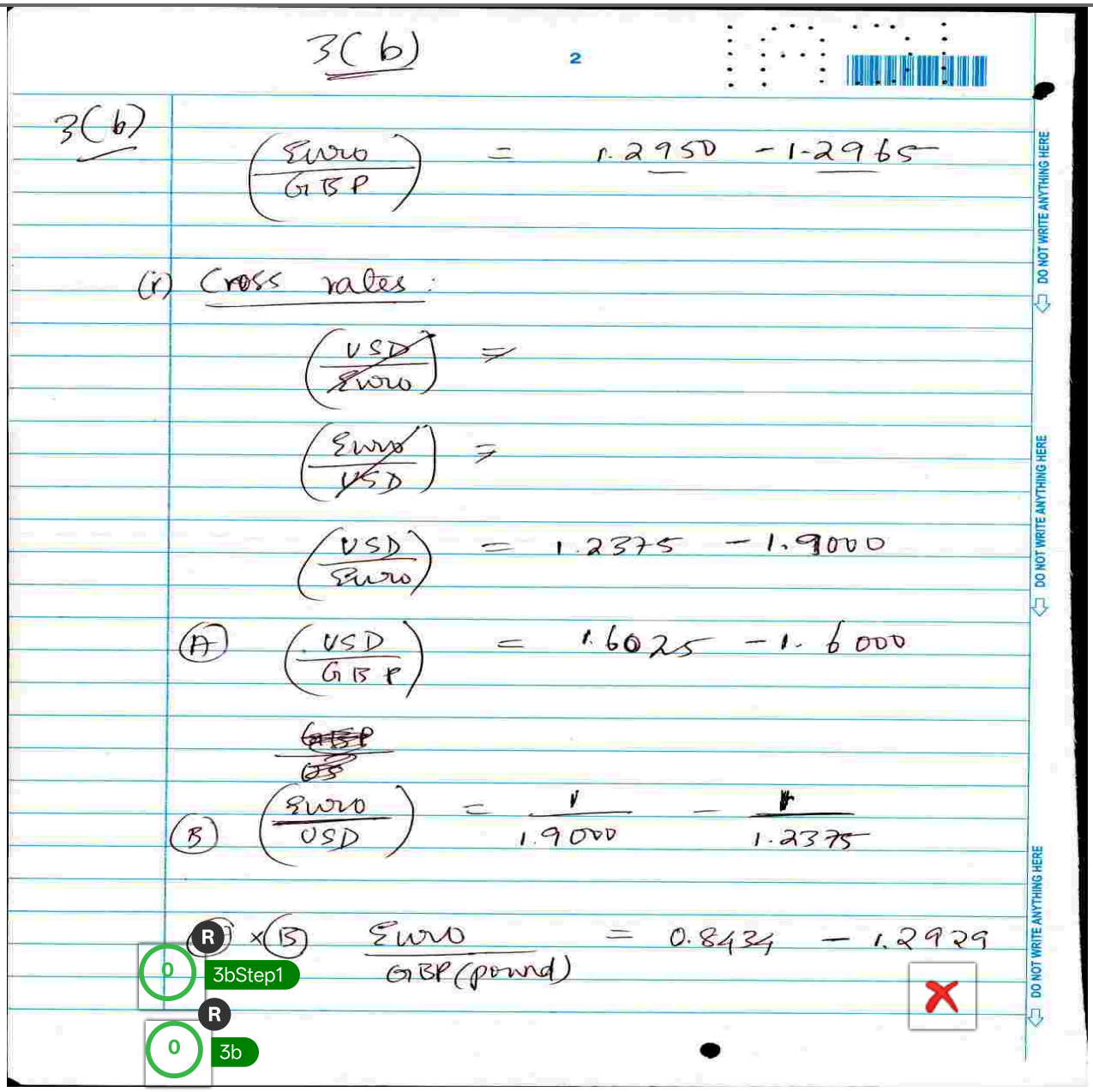
3(C)

~~(i)~~ ~~or~~ (ii)

(i) * restriction as to borrowings,
* price fixation of products,
* Rationing or restriction of currency to home country.
* Expropriation of assets by local government.

(ii) Techniques to mitigate:
* Prior negotiations;
* Entering into Joint venture.
* local financing.
* local sourcing of raw material & labour.

DO NOT WRITE ANYTHING HERE



3(b) 2

3(b)

(Euro/GBP) = 1.2950 - 1.2965

(i) Cross rates :

(USD/Euro) =

(Euro/USD) =

(USD/Euro) = 1.2375 - 1.9000

(A) (USD/GBP) = 1.6025 - 1.6000

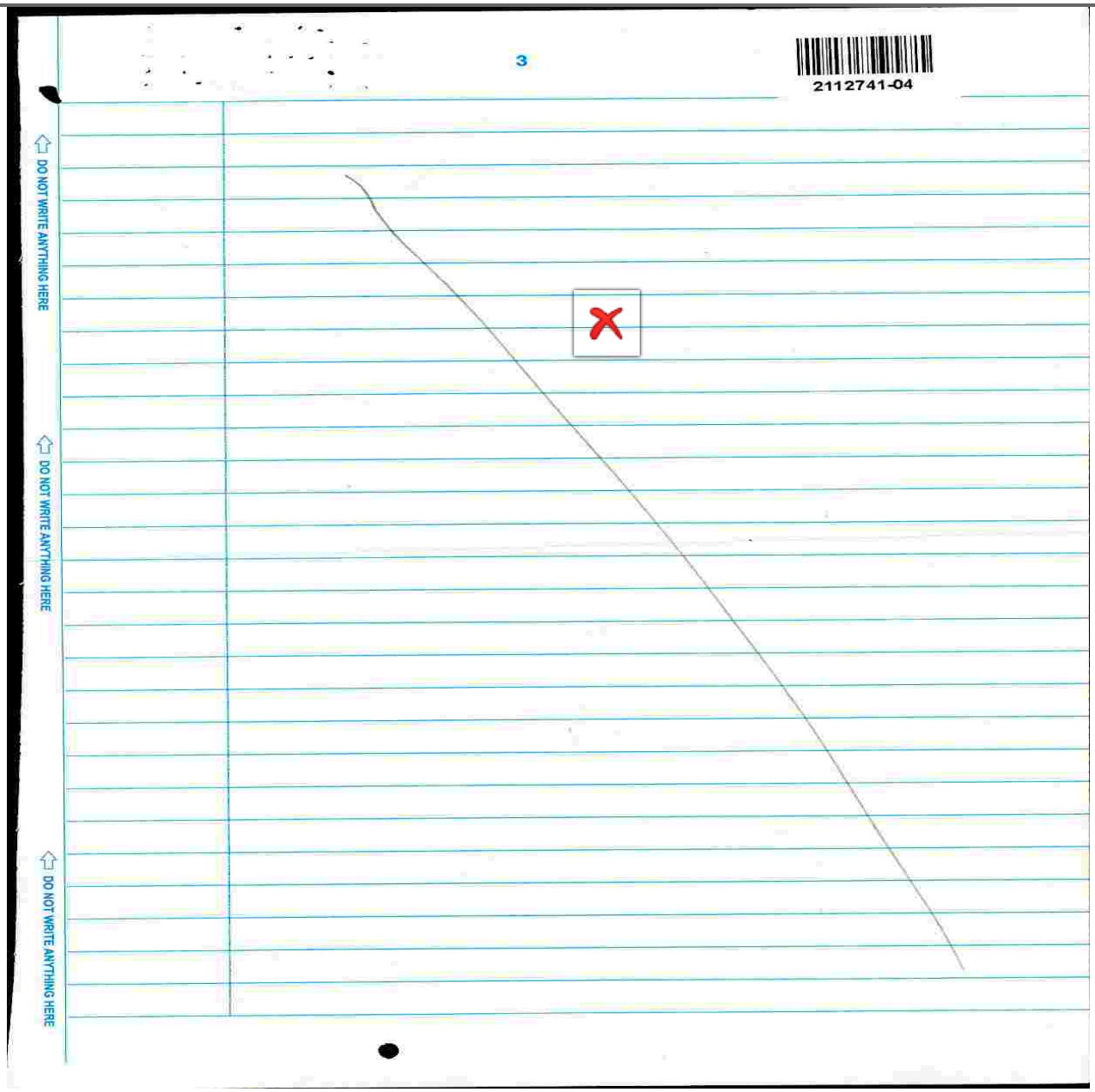
(B) (Euro/USD) = 1/1.9000 - 1/1.2375

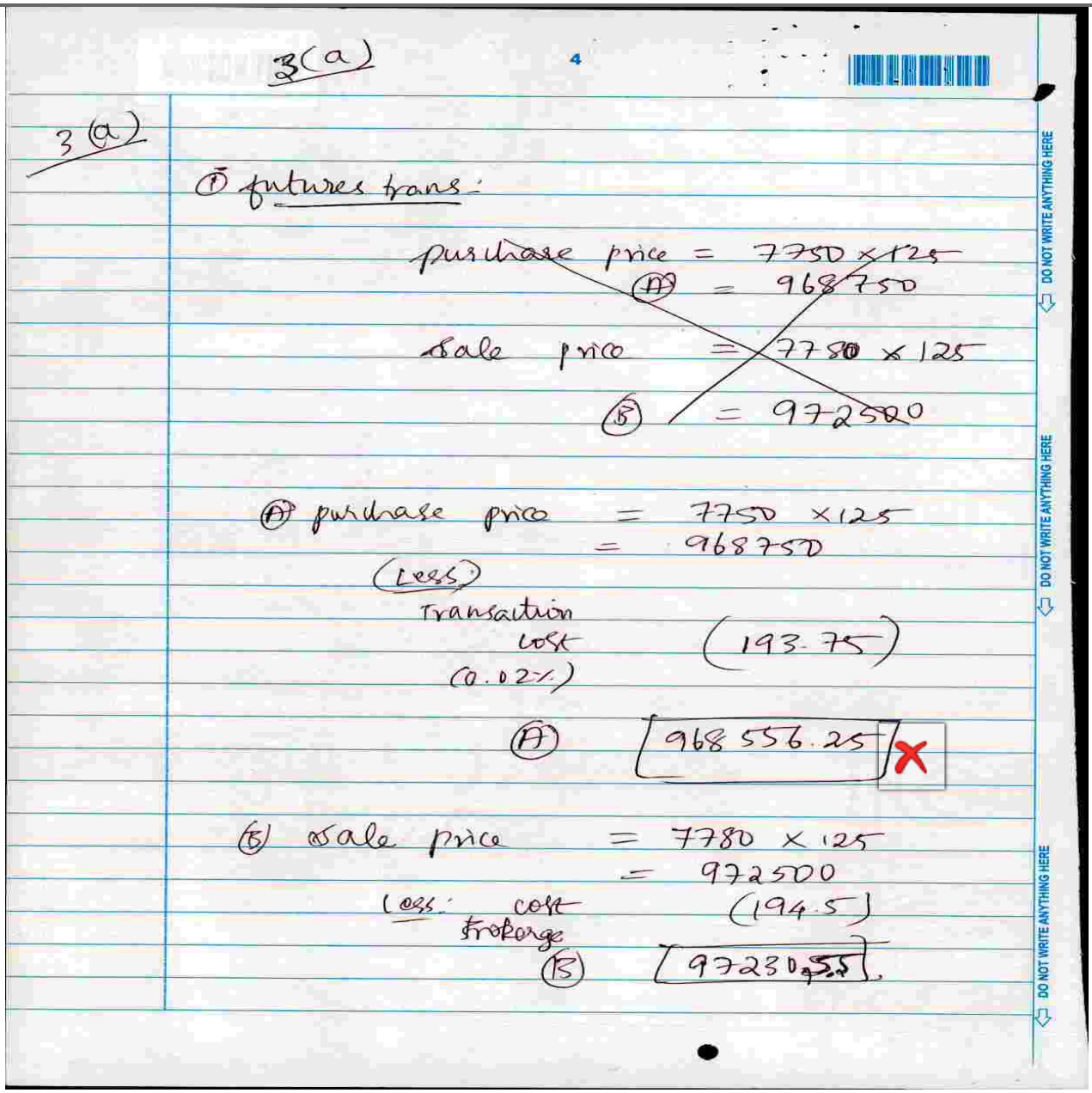
(R) x (15) Euro/GBP (pound) = 0.8434 - 1.2929

0 3bStep1

R

0 3b


3
2112741-04
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE



3(a)

3(a)

① futures trans:

purchase price = 7750 × 125
(A) = 968750

sale price = 7780 × 125
(B) = 972500

(A) purchase price = 7750 × 125
= 968750

(Less) Transaction cost (0.02%) (193.75)

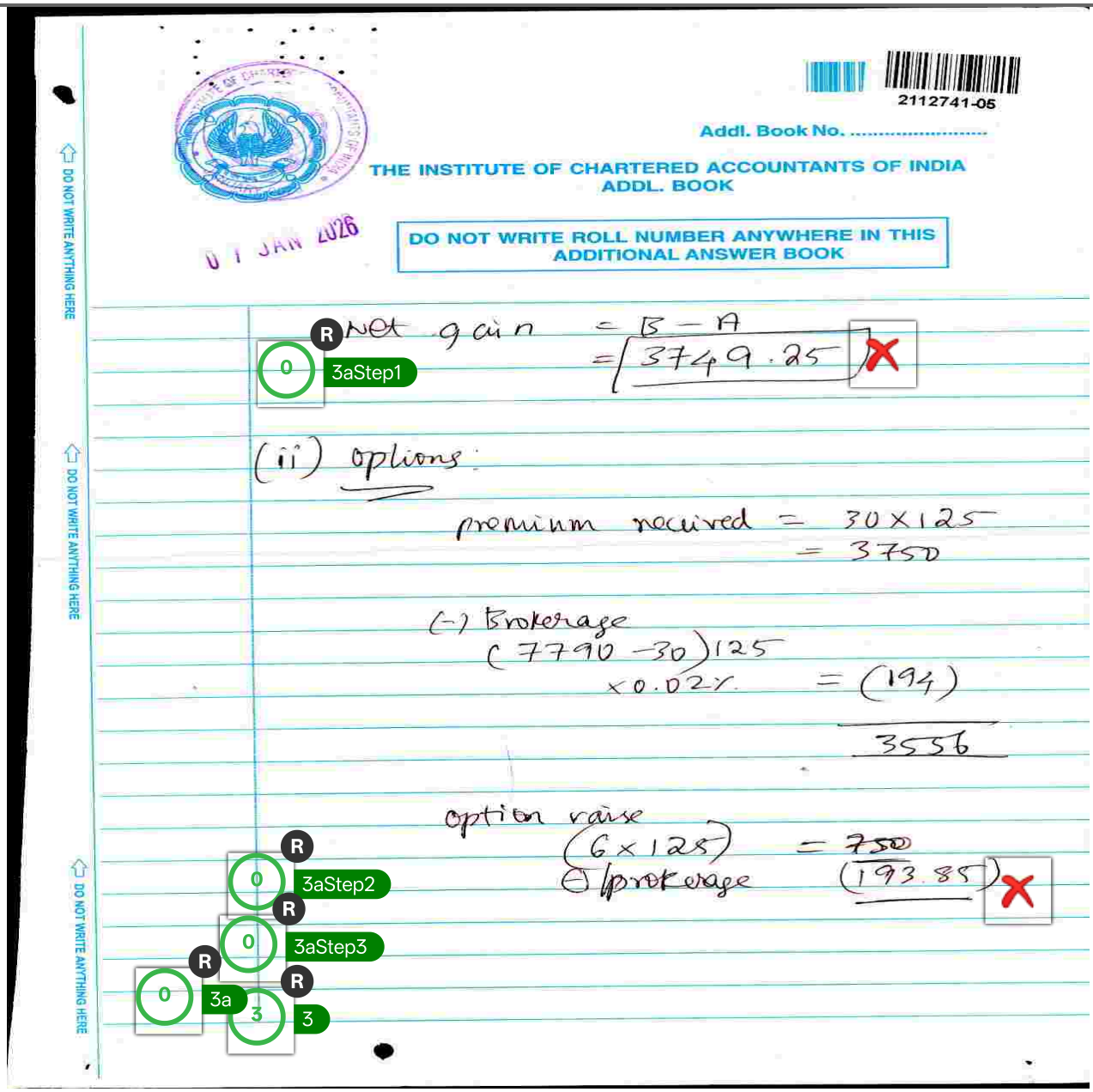
(A) [968556.25] ✗

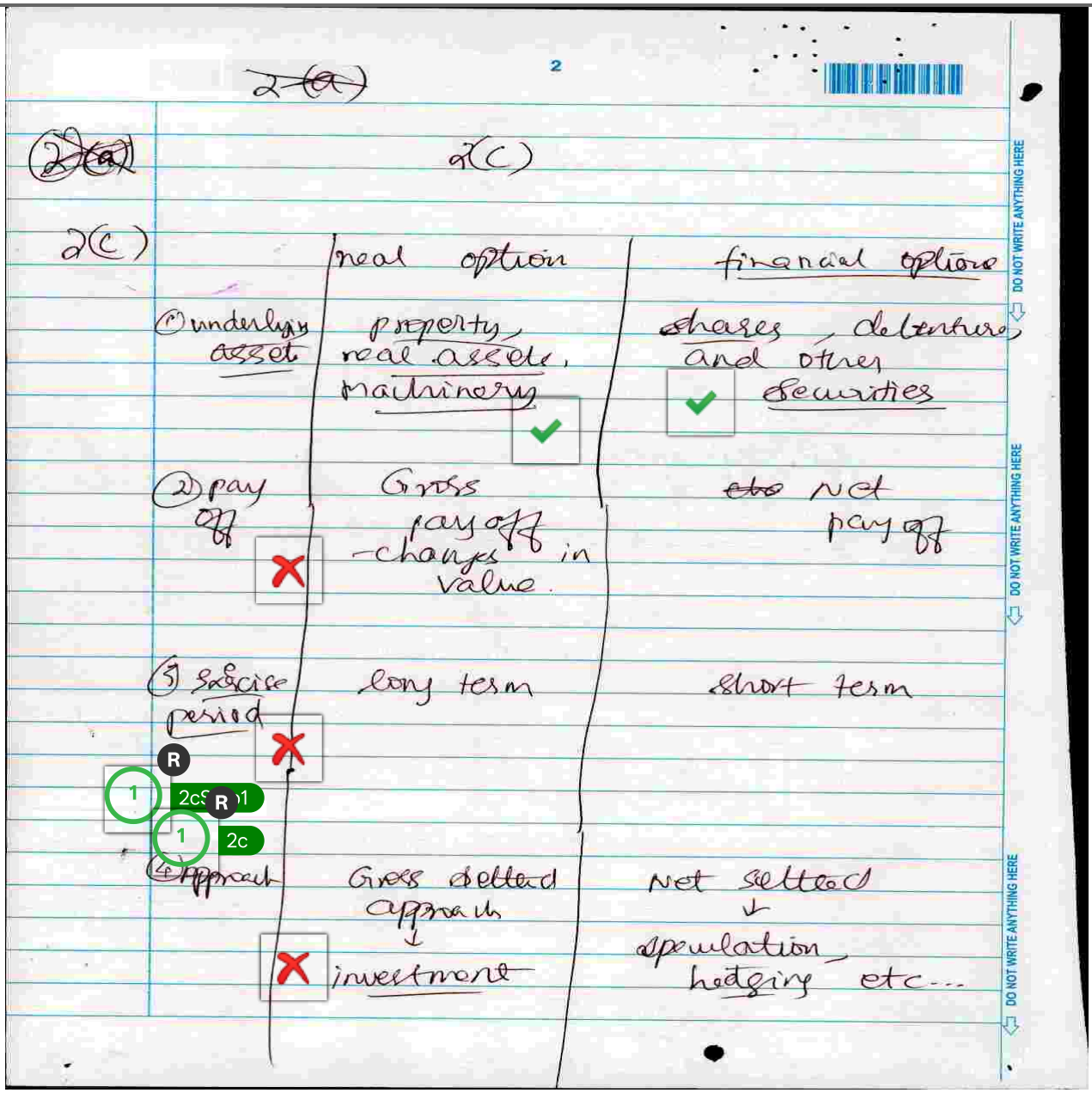
(B) sale price = 7780 × 125
= 972500

(Less: cost Brokerage (194.5)

(B) [97230~~5.5~~].

DO NOT WRITE ANYTHING HERE


2112741-05
Addl. Book No. .....
THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK
01 JAN 2026
DO NOT WRITE ROLL NUMBER ANYWHERE IN THIS ADDITIONAL ANSWER BOOK
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
Net gain = B − A
= 3749.25
(ii) Options:
premium received = 30 × 125
= 3750
(−) Brokerage
(7790 − 30) 125
× 0.02%
= (194)
3556
option raise (6 × 125) = 750
(−) brokerage (193.85)
3aStep1
3aStep2
3aStep3
3a
3



2

~~2(a)~~

~~(2)(a)~~

2(c)

2(c)

	real option	financial options
(1) underlying asset	property, real assets, machinery	shares, debentures and other securities
(2) pay off	Gross pay off - changes in value.	~~the~~ Net pay off
(3) Exercise period	long term	short term
(4) Approach	Gross settled approach ↓ investment	Net settled ↓ speculation, hedging etc...

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

2112741-06

2(a) 3

2(a) payable = 8 million US $

(i) pay immediately:

	Crore
payable (8 million $ × 66.98)	= 53.584
less: discount @ ½%	(0.5358)
payable	53.0482

Interest on borrowings:

Total funds required	= 53.0482
Available	= (0.25)
Borrowings	= 52.7982

Interest = $52.7982 \times \frac{90}{360} \times \frac{9\%}{100}$

= 1.1879595

= 1.1880 (rounded off)

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

4

Total ~~outlay~~ in option 1

opportunity ~~cost~~ = 25 lakhs × 4% × 90/360

~~=~~ ~~52.7982~~

= 0.0025

~~53.9862~~

R 2 2aStep1

(ii) pay on 60th day:

Total outflow = 53.0482 + 0.0025 + 1.1880 = 54.2387

payable in ₹ (8 million × 6.16) = 53.728

Available = (0.25)

Borrowing 53.478

interest = 53.478 × 9% × 30/360

= 0.4011 (rounded.)

∴ opportunity cost = 25 lakhs × 30/360

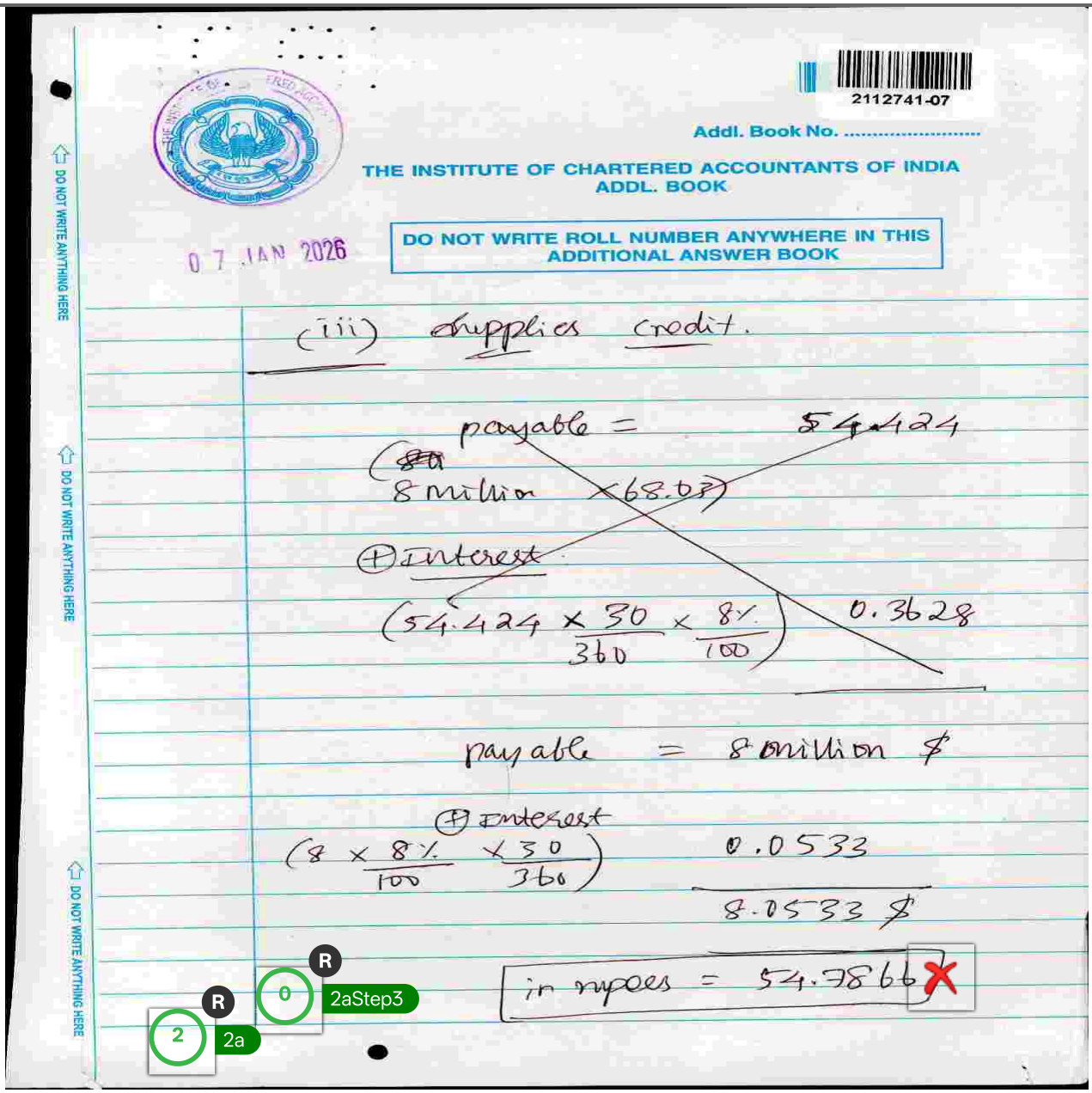
= 0.0008 crore.

Total outflow = 53.728 + 0.4011 + 0.0008

R 0 2aStep2

= 54.1299 crore

DO NOT WRITE ANYTHING HERE



2112741-07

Addl. Book No. .....

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

07 JAN 2026

DO NOT WRITE ROLL NUMBER ANYWHERE IN THIS ADDITIONAL ANSWER BOOK

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

(iii) Supplies credit.

payable = $54.424

(8 million × 68.03)

+ Interest

$\left(54.424 \times \frac{30}{360} \times \frac{8\%}{100}\right)$ 0.3628

payable = 8 million $

+ Interest

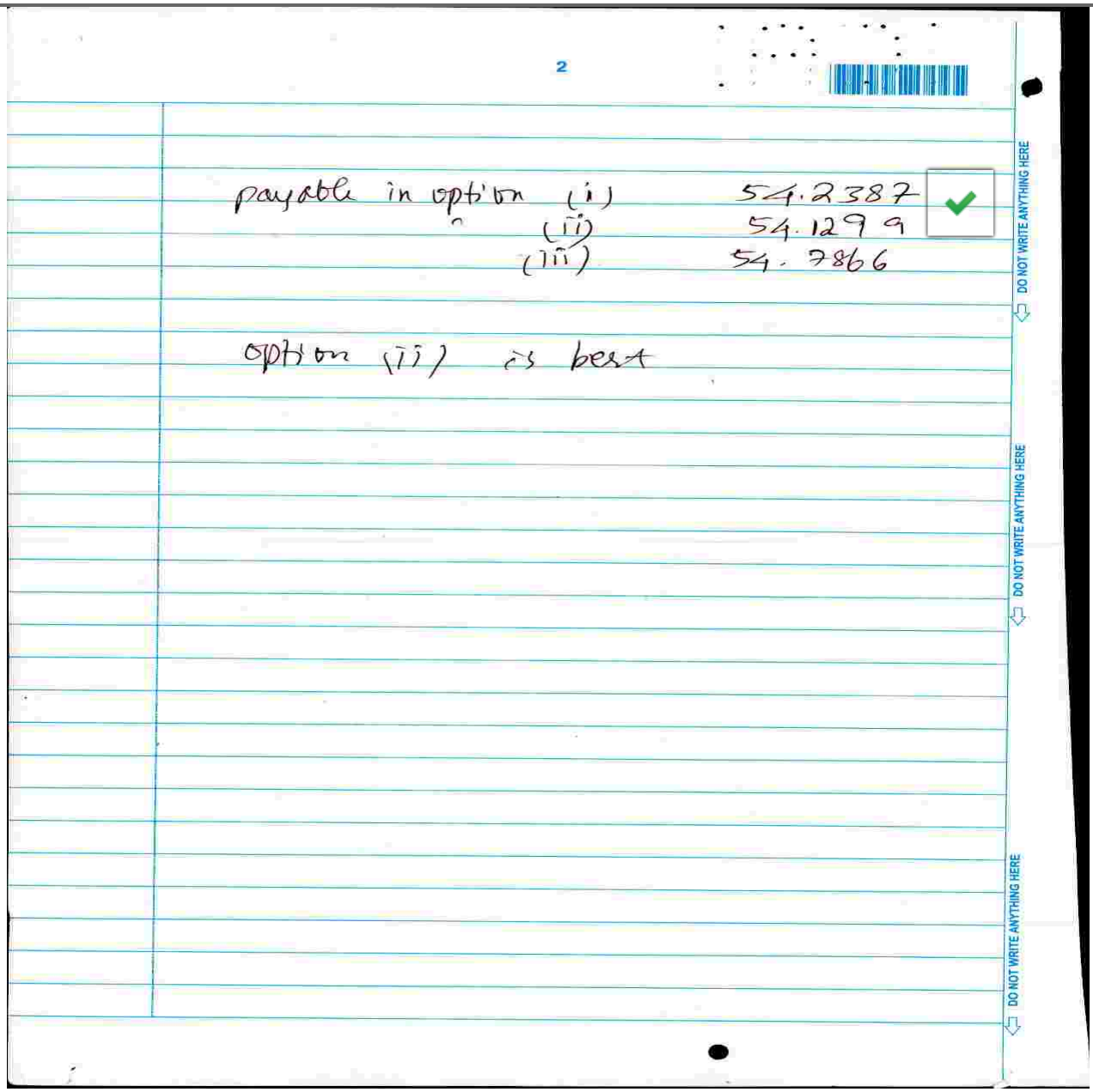
$\left(8 \times \frac{8\%}{100} \times \frac{30}{360}\right)$ 0.0533

8.0533 $

in rupees = 54.7866 ✗

R 0 2aStep3

R 2 2a



2

payable in option (i) 54.2387
(ii) 54.1299
(iii) 54.7866

option (ii) is best

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

3

2112741-08

2(b)

2
(b)

(i) 16.5%.

funds required :

revised sales = 10500
(7500 × 1.4)

(Total asset - liabilities) × 1.4

= [(6000 × 0.65) + 2000) - 1500] × 40%.

funds required. = 1240

Amt raised by profit = (140/7500) × 10500

= 196 Cr.

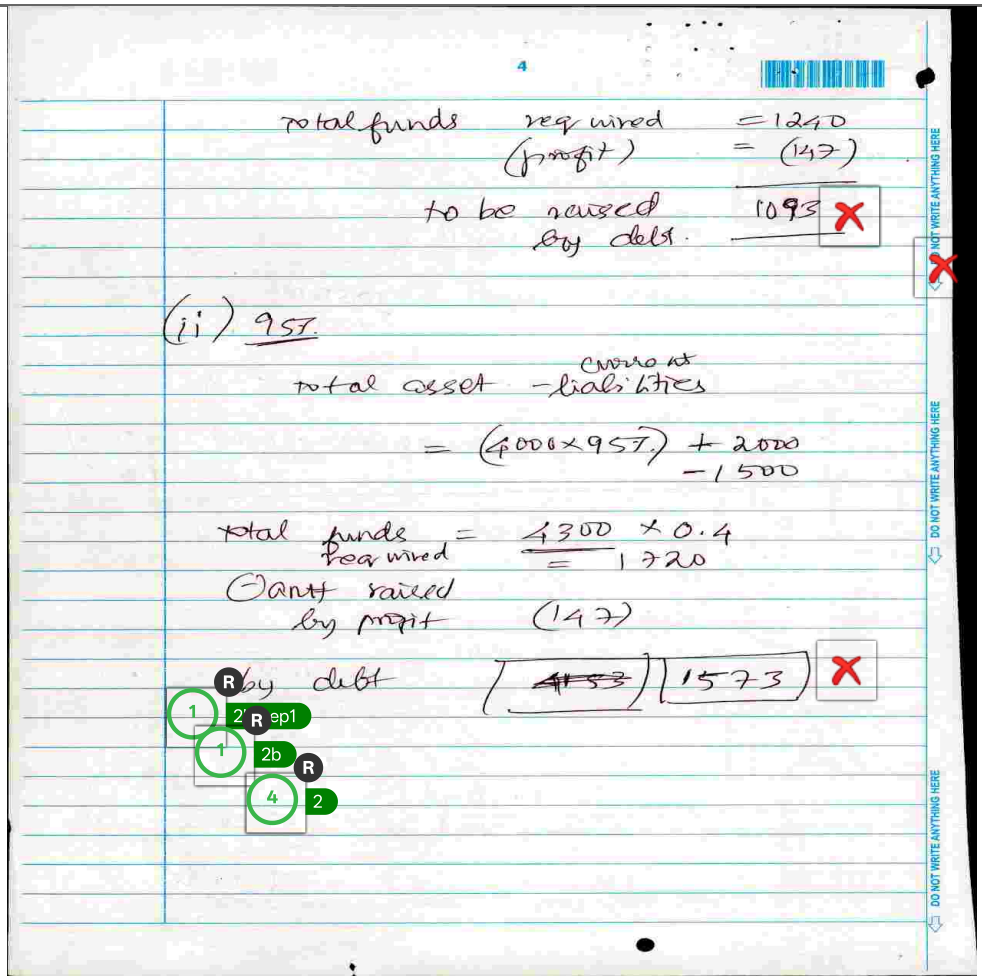
dividend payout (49)

net amt. 147 crore.

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE


4
total funds required = 1240
(profit) = (147)
to be raised by debt 1093
(ii) 95%
total asset - current liabilities
= (4000 × 95%) + 2000 - 1500
total funds required = 4300 × 0.4 = 1720
Amt raised by profit (147)
by debt 1573
DO NOT WRITE ANYTHING HERE